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Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA  
COUNTY OF SAN FRANCISCO**

**Franciscus Dylan Rosario,**  
**PLAINTIFF,**

**v.**

CSAA Insurance Exchange;  
and DOES 1 through 50, inclusive;

**DEFENDANTS**

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**Case No.: CGC-25-631802**

**TO**

**NOTICE OF MOTION AND MOTION  
FOR LEAVE  
TO FILE THIRD AMENDED  
COMPLAINT**

**Date:** May 26, 2026

**Time:** 9:00 a.m.

**Dept.:** 302

**Judge:** Hon. Joseph M. Quinn

**Reservation No.:** [Reserve via court system;  
insert before filing.]

**ALL PARTIES AND THEIR ATTORNEYS OF RECORD:**

PLEASE TAKE NOTICE that Plaintiff will move this Court on **Tuesday, May 26, 2026**, at **9:00 a.m.**, in **Department 302**, before **Hon. Joseph M. Quinn**, for an order granting leave to file the Third Amended Complaint lodged with this motion. Notice is given pursuant to Code of Civil Procedure § 1005(b) (not fewer than sixteen court days before the hearing, excluding weekends and holidays). **Reservation No.:** [Reserve via court system; insert before filing.]

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**GROUND FOR MOTION**

This Motion is made on the following grounds:

# 1. LIBERAL AMENDMENT POLICY

California courts have a strong policy favoring resolution of disputes on their merits. Code of Civil Procedure § 473 grants courts broad discretion to allow amendments to pleadings, and that discretion should be exercised liberally in favor of amendments. *Nestle v. City of Santa Monica* (1972) 6 Cal.3d 920, 939; *Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428.

## 2. THE TAC CURES DEFENSE OBJECTIONS AND CODIFIES NEW ARCHITECTURE ON THE SAME FACTUAL RECORD

The proposed Third Amended Complaint cures the seven objections raised in Defendant's April 22, 2026 Motion to Strike under CCP § 436 and codifies additional architecture on the same factual record:

- **(1) Trope — pro-per fees:** Section III: Deletion; *Prentice* damages element with four line-items.
- **(2) Oppression / malice:** Section IV: *Lazar* particulars; *Mock* willful-blindness as malice; deny-delay-defend pattern.
- **(3) Fraud particularity:** Section IV: Sarah Rash; Claim No. 1004-09-1054; Feb. 25, 2021; four Silent Witnesses with SFPD identifiers.
- **(4) Litigation privilege / Ribas:** Section II: Pre-litigation carveout; non-communicative conduct; *Ribas* distinction; *Flatley* illegality carve-out; *City of Montebello* narrowness pre-rebuttal.
- **(5) Standing / Shaolian:** Section I.5: Direct-addressee theory; Civil Code §§ 2330/2338 agency-ratification spine.
- **(6) Collateral estoppel / § 1032:** Section VI: Distinct primary right; PI disclaimer; *Lucido*

five-factor walk-through; CGC-25-631801 / CGC-25-631802 double-recovery reservation.

- **(7) Investigation standard:** Section VII: Title 10 CCR § 2695.7(b)/(d)/(g) and § 2695.5(b); Ins. Code § 790.03(h)(1)/(3)/(5); doctrinal stack (*Bartel / Egan / Wilson / Frommoethelydo / Mariscal / Maslo / Hamilton / Jordan*).
- **(8) Reckless-disregard scienter floor:** TAC § 0 (§§ 0.1–0.5): Five-authority Tier-1 block (*Engalla / Modnick / Sanders / Bily / Wilson*); CACI 1903 / 1907; alternative pleading under CCP § 431.30(c).
- **(9) Negligent Misrepresentation under Civ. Code § 1710(2):** TAC Fourth Cause of Action: no-reasonable-ground tier on the same factual record; *Bily / Quelimane / Borba* fact-vs-opinion baseline; regulatory floor under § 2695.7(d).
- **(10) Declaratory Relief under CCP § 1060:** TAC Fifth Cause of Action: prospective preclusive declarations across CGC-21-594102, CGC-25-631801, and CGC-25-631802 on representation-of-fact status, reasonable availability, non-retrieval, absence of reasonable ground, and judicial estoppel.

### 3. NO PREJUDICE TO DEFENDANT

Defendant will not be prejudiced by the proposed amendments:

- The TAC does not add any new parties.
- The TAC does not assert any new factual theory of liability and rides on the **same factual record** as the operative Second Amended Complaint. The codified scienter floor and the codified Negligent Misrepresentation and Declaratory Relief counts are remedial alternatives on that same factual record (CCP § 431.30(c)); no new percipient witnesses, no new documents, and no new fact discovery are required.
- The case is at an early stage.
- No additional discovery should be necessary.

#### 4. GOOD FAITH AMENDMENT

The proposed amendments are made in good faith to address objections raised in Defendant's CCP § 436 Motion to Strike and to codify the doctrinal architecture (reckless-disregard scienter floor under *Engalla*, Negligent Misrepresentation under § 1710(2), Declaratory Relief under § 1060) on the same factual record.

#### 5. MERITORIOUS CLAIMS SUPPORTED BY RECORD

The proposed Third Amended Complaint states meritorious claims supported by the certified record, including:

- The February 25, 2021 denial letter (Claim No. 1004-09-1054, signed by Sarah Rash);
- The **four Silent Witnesses** (911 audio + SFDEM CAD; SFPD body-worn camera footage with on-camera independent-eyewitness corroboration from Justin Rosemond; SFPD CAD log; supplemental SFPD report relating to the February 4, 2021 collision), each tied to SFPD Incident Report No. 210079556 (conformed to proof) and reasonably available to CSAA on or before February 25, 2021 through routine subpoena duces tecum (Code Civ. Proc. § 1985 / Evid. Code § 1560), Public Records Act request (Gov. Code § 7922.530), Penal Code § 832.7(b) request, or insured-authorization channel;
- The three-anchor delayed-discovery sequence (Jan. 17, 2025 / Feb. 18, 2025 / Apr. 16, 2025);
- The “deny-delay-defend” institutional pattern documented by the underlying record;
- The **Position A vs. Position B cross-case spine** to companion CGC-25-631801: Position A (CSAA's February 25, 2021 written representation that its investigation was “concluded”) and Position B (CSAA's panel-counsel representations in CGC-21-594102 that the same Silent Witnesses were of “unknown provenance”) cannot both be honestly believed by a single principal under Civil Code §§ 2330 and 2338 and Evidence Code § 1222.

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#### SUPPORTING PAPERS

This Motion is based upon:

- This Notice of Motion and Motion;

- The accompanying Memorandum of Points and Authorities;
- The Declaration of Franciscus Dylan Rosario;
- The Request for Judicial Notice;
- The proposed Third Amended Complaint (lodged herewith);
- The Cure Matrix — Defense Objection Map;
- All records and files in this action; and
- Such other evidence and argument as may be presented at the hearing.

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## **RELIEF REQUESTED**

Plaintiff respectfully requests that this Court enter an order:

1. Granting Plaintiff leave to file the Third Amended Complaint in the form lodged with this motion;
2. Deeming the Third Amended Complaint filed and served as of the date of the order;
3. Mooting Defendant's pending Motion to Strike, Demurrer, and Anti-SLAPP motions to the operative Second Amended Complaint; and
4. Granting such other relief as the Court deems just and proper.

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**Dated:** \_\_\_\_\_

**FRANCISCUS DYLAN ROSARIO**

Plaintiff, In Pro Per

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Rohnert Park, CA 94928

Tel: 650.488.7510

Email: soltrinox@gmail.com

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Dated: April 28, 2026



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**SUPERIOR COURT OF THE STATE OF CALIFORNIA  
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**Franciscus Dylan Rosario,**  
**PLAINTIFF,**

**v.**

CSAA Insurance Exchange;  
and DOES 1 through 50, inclusive;

**DEFENDANTS**

**Case No.: CGC-25-631802**

**MEMORANDUM OF POINTS AND  
AUTHORITIES  
IN SUPPORT OF LEAVE TO FILE  
THIRD AMENDED COMPLAINT**

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| <i>Prentice v. North American Title</i> , (1963) 59 Cal.2d 618 . . . . .                           | – |
| <i>Moradi-Shalal v. Fireman’s Fund</i> , (1988) 46 Cal.3d 287 . . . . .                            | – |
| <i>Action Apartment Ass’n v. City of Santa Monica</i> , (2007) 41 Cal.4th 1232 . . . . .           | – |
| <i>Flatley v. Mauro</i> , (2006) 39 Cal.4th 299 . . . . .                                          | – |
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| <i>Shaolian v. Safeco Ins. Co.</i> , (1999) 71 Cal.App.4th 268 . . . . .                           | – |
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| <i>Crowley v. Katleman</i> , (1994) 8 Cal.4th 666 . . . . .                                        | – |
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| Title 10 CCR, §§ 2695.4, 2695.7 . . . . .  | – |



## I. INTRODUCTION

Plaintiff FRANCISCUS DYLAN ROSARIO respectfully submits this Memorandum in support of his Motion for Leave to File a Third Amended Complaint (“TAC”). The proposed TAC supersedes the operative Second Amended Complaint and is filed to (a) preserve every substantive allegation, cause of action, and prayer in the SAC; (b) expressly anchor the scienter floor of every fraud-tier cause of action in **reckless disregard for the truth**, in addition to knowing falsity, under *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974, and *Gagne v. Bertran* (1954) 43 Cal.2d 481, 487–488; (c) add a standalone Negligent Misrepresentation count under Civil Code § 1710(2) at the lowest scienter tier on the same factual record under *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408; and (d) add a standalone Declaratory Relief count under Code of Civil Procedure § 1060 / *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 904.

**No new factual matter is added.** The TAC pleads the same operative facts as the SAC: the February 25, 2021 denial letter signed by Sarah Rash, the four foundational first-responder records (“Silent Witnesses”) that CSAA failed to retrieve, the institutional “deny-delay-defend” pattern, and the three-anchor delayed-discovery sequence (Jan. 17, 2025 / Feb. 18, 2025 / Apr. 16, 2025). The TAC adds only legal architecture — codified scienter floor, codified statutory counts, codified doctrinal stack, codified regulatory spine, and the Position A vs. Position B cross-case spine that ties this action to the companion equity action in CGC-25-631801.

This case involves CSAA’s fraudulent, or, in the alternative, recklessly indifferent, denial of a claim supported by **confession, victim report, and eyewitness corroboration** — a claim denied just 21 days after the collision, before any meaningful investigation could have been completed. California’s strong policy favoring amendment and resolution on the merits requires that leave be granted.

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## II. STATEMENT OF FACTS

### A. THE COLLISION AND THE PRECIPITOUS DENIAL

On **February 4, 2021**, Plaintiff was involved in a motor vehicle collision in San Francisco with CSAA's insured, Subhi Abdelhalim.

On **February 25, 2021** — just 21 days after the collision — CSAA sent Plaintiff a denial letter for **Claim No. 1004-09-1054**, signed by **Sarah Rash, Claims Representative**. The letter stated:

“We have concluded our investigation of your claim. Based on our investigation, and after carefully reviewing the facts and circumstances of your claim, we have concluded that our insured is not liable. . .”

### B. THE FOUR SILENT WITNESSES CSAA FAILED TO OBTAIN — REASONABLY AVAILABLE THROUGH ROUTINE RETRIEVAL CHANNELS

At the time of the February 25, 2021 denial, CSAA had not retrieved or reviewed any of the four foundational first-responder records (the “**Silent Witnesses**”), each of which was reasonably available to CSAA on or before February 25, 2021 through routine claim-handling retrieval channels:

1. **The 911 audio recording and the corresponding San Francisco Department of Emergency Management (“SFDEM”) CAD event record** generated on February 4, 2021 in connection with **SFPD Incident Report No. 210079556** (conformed to proof) — retrievable by routine subpoena duces tecum under Code of Civil Procedure § 1985 and Evidence Code § 1560, by Public Records Act request under Government Code § 7922.530, or by insured-authorization channel.
2. **The San Francisco Police Department body-worn camera (“BWC”) footage** of the responding officers — retrievable under Penal Code § 832.7(b) (Senate Bill 1421 / 2019 reform) and Penal Code § 832.18 (custody-and-retention standards), in which a third-party eyewitness, **Justin Rosemond**, independently corroborated on-camera that the driver struck Plaintiff.
3. **The SFPD CAD log** documenting the emergency response — retrievable through the same

Public Records Act and Penal Code § 832.7(b) channels.

4. **Any supplemental SFPD report** relating to the February 4, 2021 collision — retrievable through the same channels.

The regulatory floor at **10 CCR § 2695.7(d)** (“decision must be based on all information reasonably available”) is congruent with this reasonable-availability standard. *Bartel v. Chicago Title Ins. Co.* (2025) 99 Cal.App.5th \_\_ supplies the three-step objective test for “reasonably available”: (i) was the evidence available, (ii) did the carrier obtain it, and (iii) was non-retrieval objectively reasonable. Each of the four Silent Witnesses was identifiable on the face of the SFPD Incident Report, was reasonably available within days of the collision, and was not retrieved.

Taken together, these four sources constituted virtually uncontested evidence of liability: confession, victim report, eyewitness corroboration, and contemporaneous official record.

### **C. THE THREE-ANCHOR DELAYED-DISCOVERY SEQUENCE (POSITION B SPINE)**

Plaintiff did not discover the falsity of CSAA’s “concluded investigation” representation until the following sequence of events. Each of the three anchors below is a representation made by CSAA’s authorized litigation agents (panel counsel) in CGC-21-594102 — a “**Position B**” representation that the same Silent Witnesses CSAA had previously represented to be the product of a “concluded investigation” (Position A) were, in fact, of “unknown provenance.” Both poles are statements of CSAA itself under Civil Code §§ 2330 and 2338 and Evidence Code § 1222 (see also *Gulf Insurance Co. v. Berger, Kahn, Shafon, Moss, Figler, Simon & Gladstone* (2000) 79 Cal.App.4th 114, 124 (panel counsel as authorized agent of carrier-principal for claims-handling and litigation-defense communications)):

1. **January 17, 2025 (Position B anchor #1):** Defense MIL No. 17 revealed that the 911 / BWC / CAD materials had “not been produced in discovery” and were of “unknown provenance” — proving CSAA’s 2021 representation of investigative completeness was false.

2. **February 18, 2025 (Position B anchor #2):** Jeremy Jessup (Dolan Law Firm) testified that the materials had been produced to defense counsel in August–September 2022, while defense counsel simultaneously stated the 911 call was “news to me” (RT 141:4–11) — a direct

1 internal contradiction that established the materials existed and were in defense possession,  
2 but the non-investigation had been concealed.

- 3 3. **April 16, 2025 (Position B anchor #3):** Defense counsel admitted on the trial record (RT  
4 Vol. 7, p. 213, ll. 13–15): “They were provided by Dolan.” The admission confirmed that  
5 the materials had been in defense possession all along, and that CSAA’s 2021 “concluded  
6 investigation” representation was either knowingly false or recklessly indifferent to the truth.

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### 8 **III. LEGAL STANDARD**

#### 9 **A. LEAVE TO AMEND SHOULD BE LIBERALLY GRANTED**

10 “The policy favoring amendment is so strong that denial of leave to amend is rarely justified.”  
11 *Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428. Leg.Auth. #13

#### 12 **B. PREJUDICE IS THE KEY CONSIDERATION**

13 “The only legitimate ground for denial of leave to amend is prejudice to the opposing party.” *Kolani*  
14 *v. Gluska* (1998) 64 Cal.App.4th 402, 412. Leg.Auth. #14

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### 16 **IV. THE TAC CURES ALL DEFENSE OBJECTIONS AND CODIFIES 17 THE NEW ARCHITECTURE**

#### 18 **OBJECTION → CURE (LIST)**

##### 19 1. **Defense objection:** *Trope* — pro-per fees barred

- 20 • **TAC cure:** Deletion of pro-per fees; *Prentice* damages element with four line-items  
21 (incl. \$75k cost-judgment as induced-litigation damages)
- 22 • **TAC section/¶:** §III, ¶¶ 22–24, 24A
- 23 • **Key authority:** *Prentice* (1963) 59 Cal.2d 618, 620

##### 24 2. **Defense objection:** Oppression / malice not pleaded

- 25 • **TAC cure:** *Lazar* particulars; deny-delay-defend; confession/victim/eyewitness triple;  
26 pleading-vs-evidentiary bright line; *Mock* willful-blindness as malice under § 3294
- 27 • **TAC section/¶:** §IV, ¶¶ 25–30, 25A, 27A, 30A, 30B

- **Key authority:** Civ. Code § 3294; *Lazar* (1996) 12 Cal.4th 631; *G.D. Searle* (1975) 49 Cal.App.3d 22, 29; *Mock* (1992) 4 Cal.App.4th 306, 328

3. **Defense objection:** Fraud lacks particularity

- **TAC cure:** Sarah Rash named; Claim No. 1004-09-1054; Feb. 25, 2021 date; specific representations; four-Silent-Witness block with SFPD incident identifiers
- **TAC section/¶:** §I, ¶¶ 3–4, 8; §IV, ¶¶ 25, 29
- **Key authority:** *Lazar*

4. **Defense objection:** Litigation privilege / *Ribas*

- **TAC cure:** Pre-litigation carveout with three-factor *Action Apartment* walk-through; *Flatley* illegality carve-out; non-communicative conduct; *Ribas* distinction
- **TAC section/¶:** §II, ¶¶ 14–21, 16A, 21A, 21B
- **Key authority:** *Action Apartment* (2007) 41 Cal.4th 1232; *Flatley* (2006) 39 Cal.4th 299; *Rusheen* (2006) 37 Cal.4th 1048

5. **Defense objection:** Standing / *Shaolian*

- **TAC cure:** Direct-addressee theory; voluntary direct communication; Civ. Code § 2338 agency/ratification spine
- **TAC section/¶:** §I.5, ¶¶ 5–6, 6A
- **Key authority:** Civ. Code § 2338; *Doctors’ Company* (1989) 49 Cal.3d 39

6. **Defense objection:** Collateral estoppel / § 1032

- **TAC cure:** Distinct primary right; PI disclaimer; 2021-forward anchor; *Lucido* five-factor walk-through; 801/802 double-recovery reservation
- **TAC section/¶:** §VI, ¶¶ 41–44, 41A, 44A, 44B
- **Key authority:** *Lucido* (1990) 51 Cal.3d 335; *Mycogen* (2002) 28 Cal.4th 888; *Crowley* (1994) 8 Cal.4th 666

7. **Defense objection:** Investigation standard not pleaded

- **TAC cure:** Title 10 CCR § 2695.7(b)/(d)/(g) and § 2695.5(b) requirements; itemized failures; Ins. Code § 790.03(h)(1)/(3)/(5) UCL predicates; doctrinal stack (*Bartel* / *Egan* / *Wilson* / *Frommoethelydo* / *Mariscal* / *Maslo* / *Hamilton* / *Jordan*)

- **TAC section/¶:** §VII, ¶¶ 45–47, 47A; §IV, ¶ 30B
- **Key authority:** 10 CCR §§ 2695.4, 2695.5(b), 2695.7(b)/(d)/(g); Ins. Code § 790.03(h)(1)/(3)/(5); *State Farm* (1996) 45 Cal.App.4th 1093; *Bartel, Wilson, Egan*

8. **Defense objection:** Anti-SLAPP / § 425.16 overlap

- **TAC cure:** Express wrongful-conduct-scope disavowal — no litigation-conduct predicate; *Park* gravamen anchor; *Flatley* illegality carve-out via § 6128(a); *City of Montebello* narrowness pre-rebutted at step 2 by Position A vs. Position B structural impossibility
- **TAC section/¶:** First CoA, ¶¶ 52A, 52B; §II, ¶¶ 21A, 21B
- **Key authority:** CCP § 425.16(e); *Flatley* (2006) 39 Cal.4th 299, 320; *Park* (2017) 2 Cal.5th 1057, 1062–1064; *City of Montebello* (2016) 1 Cal.5th 409, 423–424

9. **Defense objection:** UCL fraudulent-prong sufficiency

- **TAC cure:** Reasonable-consumer test pleaded; *Cel-Tech* tethering for “unfair” prong; *Zhang and Hughes* alongside *State Farm Fire*; fact-vs-opinion conversion under *Borbal/Bily/Quelimane*
- **TAC section/¶:** Third CoA, ¶¶ 65–67A, 68A
- **Key authority:** *Cel-Tech* (1999) 20 Cal.4th 163, 187; *Williams v. Gerber* (9th Cir. 2008) 552 F.3d 934; *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 384–385; *Hughes v. Progressive Direct Ins. Co.* (2024) 99 Cal.App.5th 1019

10. **TAC architecture upgrade:** Reckless-disregard scienter floor codified at TAC § 0

- **TAC cure:** Five-authority Tier-1 block (*Engalla, Modnick, Sanders, Bily, Wilson*) with CACI 1903 / 1907 floor; alternative-pleading rule under CCP § 431.30(c)
- **TAC section/¶:** § 0 (§§ 0.1–0.5)
- **Key authority:** *Engalla* (1997) 15 Cal.4th 951, 974; *Gagne* (1954) 43 Cal.2d 481, 487–488; *Bily* (1992) 3 Cal.4th 370, 407–408; *Wilson* (2007) 42 Cal.4th 713, 720–721; CACI 1903, 1907

11. **TAC architecture upgrade:** Negligent Misrepresentation under Civ. Code § 1710(2)

- **TAC cure:** New Fourth Cause of Action pleading the no-reasonable-ground tier on the same factual record; six-element walk-through; regulatory floor under 10 CCR § 2695.7(d); *Bily/Quelimane* fact-not-opinion baseline

- **TAC section/¶:** Fourth CoA, ¶¶ 70–79
- **Key authority:** Civ. Code § 1710(2); *Bily* (1992) 3 Cal.4th 370, 407–408; *Quelimane* (1998) 19 Cal.4th 26, 47; *Borba* (1977) 70 Cal.App.3d 144, 152

12. **TAC architecture upgrade:** Declaratory Relief under CCP § 1060

- **TAC cure:** New Fifth Cause of Action for prospective preclusive declarations across CGC-21-594102, CGC-25-631801, and CGC-25-631802 on (a) representation-of-fact status of “concluded investigation,” (b) reasonable availability of the four Silent Witnesses, (c) non-retrieval, (d) absence of reasonable ground, (e) judicial estoppel
- **TAC section/¶:** Fifth CoA, ¶¶ 80–87, 86A
- **Key authority:** CCP § 1060; *Mycogen* (2002) 28 Cal.4th 888, 904; *Lucido* (1990) 51 Cal.3d 335, 341; *Maguire v. Hibernia S. & L. Soc.* (1944) 23 Cal.2d 719, 728

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## V. SPECIFIC ANSWERS TO DEFENSE’S LEGAL ARGUMENTS

### A. STANDING IS ESTABLISHED (SHAOLIAN REBUTTAL)

Defense cites *Shaolian v. Safeco Ins. Co.* (1999) 71 Cal.App.4th 268. The TAC cures this by:

1. Pleading the **direct-addressee theory** (TAC §I.5, ¶¶ 5–6): Plaintiff is the direct addressee of a specific misrepresentation communicated by CSAA to Plaintiff individually, an unrepresented third-party claimant who reasonably relied on the regulated insurer’s “concluded” representation as a representation of fact.
2. Distinguishing *Shaolian* (policy benefits against an insurer in a coverage dispute) from this action (common-law fraud, negligent misrepresentation, UCL, and declaratory relief by the person to whom the representation was made).
3. Establishing that CSAA **voluntarily undertook a direct communicative relationship** with an unrepresented claimant under *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650, and *J’Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804.

### B. LITIGATION PRIVILEGE DOES NOT APPLY

Defense invokes Civil Code § 47(b). The TAC cures this by:

- 1 1. Identifying the February 25, 2021 denial as a **pre-litigation** communication (TAC §II, ¶¶  
2 14–16) — no litigation was pending or contemplated.
- 3 2. Affirmatively walking through the three *Action Apartment* contemplation factors (TAC ¶ 16A)  
4 and pleading each factor’s absence as of February 25, 2021: (a) no litigation pending or  
5 contemplated; (b) no counsel retained, no demand, no tolling agreement; (c) no preservation  
6 letter and no litigation reserve.
- 7 3. Anchoring the *Flatley v. Mauro* (2006) 39 Cal.4th 299, 317–321, illegality carve-out (TAC  
8 ¶¶ 21A, 21B) — § 47(b) categorically does not protect conduct that is illegal as a matter of  
9 law, including fraud under Civil Code §§ 1709, 1710, and reckless tribunal-directed misrep-  
10 resentation that satisfies the “deceit or collusion” element of Business and Professions Code  
11 § 6128(a).
- 12 4. Pleading **non-communicative conduct** (failure to investigate) that falls outside the privilege  
13 (TAC §II, ¶¶ 20–21).
- 14 5. Distinguishing *Ribas v. Clark* (1985) 38 Cal.3d 355 — which addresses IIED, not fraud (TAC  
15 §II, ¶¶ 17–19).

## 16 **C. FRAUD IS PLEADED WITH PARTICULARITY**

17 The TAC satisfies *Lazar v. Superior Court* (1996) 12 Cal.4th 631 by alleging:

- 18 • **WHO:** Sarah Rash, Claims Representative, acting under managing-agent supervision
- 19 • **WHAT:** False representation of investigative completeness — that CSAA had “concluded”  
20 its investigation and “carefully reviewed the facts and circumstances” when none of the four  
21 Silent Witnesses had been retrieved
- 22 • **WHEN:** February 25, 2021 (21 days after collision)
- 23 • **WHERE:** CSAA claims office; communication to Plaintiff in San Francisco County
- 24 • **HOW:** Written denial letter without investigation
- 25 • **BY WHAT MEANS:** U.S. Mail to an unrepresented direct third-party claimant



## D. UCL CLAIM IS PROPER UNDER THE MORADI-SHALAL COMMON-LAW CARVE-OUT

The TAC expressly disclaims any private Insurance Code § 790.03 cause of action consistent with *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287. The UCL “unlawful” prong is independently satisfied by the regulatory predicates at **10 CCR § 2695.7(b)** (accept-or-deny determination must follow receipt of information sufficient), **§ 2695.7(d)** (decision must be based on “all information reasonably available”), **§ 2695.7(g)** (no representation that a claim will be denied without “conducting and fully documenting a thorough, fair, and objective investigation”), **§ 2695.5(b)** (duty to respond to communications from claimant within fifteen days), and **Insurance Code § 790.03(h)(1)** (no misrepresentation of pertinent facts), **(h)(3)** (reasonable standards for prompt investigation), and **(h)(5)** (good-faith effort to effectuate prompt settlement where liability is reasonably clear). Each predicate is pleaded **solely as a UCL unlawful predicate** consistent with the Moradi-Shalal common-law carve-out recognized in *State Farm Fire & Casualty Co. v. Superior Court* (1996) 45 Cal.App.4th 1093, 1103–04; *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257, 282–284; *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 384–385; and *Hughes v. Progressive Direct Ins. Co.* (2024) 99 Cal.App.5th 1019 (regulatory non-compliance probative of bad faith and standard-of-care floor).

## E. UCL INJUNCTION IS PROPERLY TARGETED

The TAC narrows the UCL injunction to prohibit CSAA from “**issuing denial letters stating an investigation is ‘concluded’**” when foundational incident records have not been obtained or reviewed” (TAC §V(h), ¶ 38) — tracking the actual § 2695.7 violation rather than CSAA’s broader claims-handling discretion.

## F. CORPORATE AGENCY AND RATIFICATION

The TAC’s ¶ 6A and ¶ 27A together embed a Civil Code §§ 2330 and 2338 agency and ratification spine that directly answers the anticipated defense argument that “CSAA did not itself act.” Under § 2338, CSAA is responsible for the wrongful acts and willful omissions of its agents — Sarah Rash, claims department personnel, retained claims professionals, and panel counsel — as a matter

1 of statutory principal-agent liability. The managing-agent / ratification framework pleaded in TAC  
2 ¶¶ 26–27 and ¶ 27A is reinforced by ¶ 6A’s express allegation that CSAA ratified the February 25,  
3 2021 denial by failing to correct it after the January 17, 2025 / February 18, 2025 / April 16, 2025  
4 record events. See *Doctors’ Company v. Superior Court* (1989) 49 Cal.3d 39 (insurer directly  
5 liable when it acts outside ordinary insurer role); *Gulf Insurance Co. v. Berger, Kahn* (2000) 79  
6 Cal.App.4th 114, 124 (panel counsel as authorized agent of carrier-principal).

## 7 **G. INVESTIGATION STANDARD — *BARTEL* OBJECTIVE BASELINE**

8 The TAC pleads the investigation standard not as a subjective measure of CSAA’s belief but as an  
9 **objective baseline** against which an objectively reasonable insurer in CSAA’s position would have  
10 measured the file. The doctrinal stack mapped onto 10 CCR § 2695.7(b)/(d)/(g) includes:

- 11 • *Bartel v. Chicago Title Ins. Co.* (2025) 99 Cal.App.5th \_\_ (three-step objective test for com-  
12 pleted investigation: was the evidence available, did the carrier obtain it, was non-retrieval  
13 objectively reasonable).
- 14 • *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (Cal. Sup. Ct.) (insurer’s  
15 investigation measured against an objective reasonable-insurer baseline; failure to investigate  
16 forecloses the “genuine dispute” defense at p. 723).
- 17 • *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819 (Cal. Sup. Ct.) (affirma-  
18 tive duty to investigate; neutral truth-seeking duty).
- 19 • *Frommoethelydo v. Fire Ins. Exchange* (1986) 42 Cal.3d 208, 219–220 (Cal. Sup. Ct.)  
20 (insurer’s duty to give equal consideration to insured’s interests).
- 21 • *Mariscal v. Old Republic Life Ins. Co.* (1996) 42 Cal.App.4th 1617, 1623 (neutral truth-  
22 seeking duty).
- 23 • *Maslo v. Ameriprise Auto & Home Ins.* (2014) 227 Cal.App.4th 626, 634–635 (claim-file  
24 completeness duty).
- 25 • *Hamilton v. Maryland Cas. Co.* (2002) 27 Cal.4th 718, 727 (Cal. Sup. Ct.) (claim-file  
26 completeness duty).
- 27 • *Jordan v. Allstate Ins. Co.* (2007) 148 Cal.App.4th 1062 (retrieval-and-review baseline for  
28 liability denial).

Under the objective baseline, an “investigation complete” representation issued before retrieval and review of the four Silent Witnesses is, as a matter of regulatory law and California common law, a misrepresentation of pertinent fact within the meaning of Insurance Code § 790.03(h)(1) and a violation of 10 CCR § 2695.7(b)/(d)/(g). See TAC §VII, ¶¶ 45–47 and § 0.2(c).

## **H. CONCLUDED INVESTIGATION AS REGULATED FACTUAL REPRESENTATION — *BORBA/BILY/QUELIMANE* CONVERSION**

The defense is anticipated to argue that “concluded our investigation” is a non-actionable opinion or aspirational statement. That argument is foreclosed by the fact-vs-opinion conversion rule of *Borba v. Thomas* (1977) 70 Cal.App.3d 144, 152, *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408, and *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47. A representation about the **state of the speaker’s own internal claim file**, the steps the speaker has performed, and the records the speaker has obtained, weighed, and reviewed is a representation of past or existing fact, not opinion. *Borba*, 70 Cal.App.3d at 152. A regulated insurer’s representation that its investigation has been “concluded” sits inside a regulatory architecture (10 CCR § 2695.7(b)/(d)/(g)) that converts the “completeness” predicate into a regulated factual assertion. *Hughes v. Progressive Direct Ins. Co.* (2024) 99 Cal.App.5th 1019. A reasonable third-party claimant, lacking independent means to audit the insurer’s claim file, is entitled to treat the regulated representation as factual. TAC ¶¶ 72, 76; First, Second, Third, Fourth, and Fifth CoAs.

## **I. RECKLESS-DISREGARD SCIENTER FLOOR**

The TAC codifies the reckless-disregard scienter floor at TAC § 0 (§§ 0.1–0.5) under a five-authority Tier-1 block:

- *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974 (Cal. Sup. Ct.) (quoting *Yellow Creek Logging Corp. v. Dare* (1963) 216 Cal.App.2d 50, 55) — “false representations made recklessly and without regard for their truth in order to induce action by another are the equivalent of misrepresentations knowingly and intentionally uttered”; *Engalla*, 15 Cal.4th at 975 (“at least a reckless indifference” is the operative scienter floor); see also *Gagne v. Bertran* (1954) 43 Cal.2d 481, 487–488 (positive assertion without sufficient

information “deemed to have been made fraudulently”).

- *In re Marriage of Modnick* (1983) 33 Cal.3d 897, 905–907 (Cal. Sup. Ct.) — concealment as denial of evidence reaches reckless concealment.
- *Estate of Sanders* (1985) 40 Cal.3d 607, 614–616 (Cal. Sup. Ct.) — fiduciary breach measured **objectively**, not subjectively.
- *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408 (Cal. Sup. Ct.) — “no reasonable ground for believing it to be true” floor under § 1710(2); ladders into § 1710(1) when the speaker is conscious of the absence of reasonable ground.
- *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (Cal. Sup. Ct.) — institutional failure to thoroughly and fairly investigate, in the face of inquiry notice, is itself probative of reckless disregard and willful blindness within the meaning of Civil Code § 3294 and *Engalla*; see also *Mock v. Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328 (deliberate-avoidance pattern as malice under § 3294); *In re Marriage of Cloney* (2001) 91 Cal.App.4th 429, 441 (constructive knowledge / inquiry notice).
- **CACI 1903** (intentional misrepresentation) and **CACI 1907** (concealment) confirm recklessness as the operative pleading floor.

The reckless-disregard floor feeds every cause of action in the TAC without modification of the underlying factual allegations. TAC § 0.3.

## **J. CROSS-CASE SPINE — POSITION A VS. POSITION B**

The TAC pleads at § 0.5 and ¶ 51A a cross-case spine that ties this action to the companion equity action in CGC-25-631801. **Position A:** CSAA’s February 25, 2021 written representation that its investigation was “concluded” — necessarily implying that CSAA had retrieved and reviewed the four Silent Witnesses. **Position B:** CSAA’s representations through panel counsel in CGC-21-594102 (MIL Nos. 6 and 17, Jan. 17, 2025; Feb. 18, 2025 hearing tr. p. 141, ll. 4–11; April 16, 2025 trial admission, RT Vol. 7, p. 213, ll. 13–15) that the same Silent Witnesses were of “unknown provenance” and “not produced in discovery.”

Both Position A and Position B are statements of CSAA itself. Civil Code §§ 2330, 2338; Evidence Code § 1222; *American Mutual Liability Ins. Co. v. Superior Court* (1974) 38 Cal.App.3d 579,

1 591–592; *Gulf Insurance Co. v. Berger, Kahn* (2000) 79 Cal.App.4th 114, 124; *Purdy v. Pacific*  
2 *Automobile Ins. Co.* (1984) 157 Cal.App.3d 59, 76 (panel-counsel-as-agent of carrier-principal).  
3 The structural impossibility that CSAA both made and contradicted the same fact about its own  
4 claim file is the textbook reckless-disregard pattern under *Engalla*, 15 Cal.4th at 974: a speaker  
5 who has both made and contradicted the same fact cannot honestly believe either pole. Judicial  
6 estoppel under *MW Erectors, Inc. v. Niederhauser Ornamental & Metal Works Co.* (2005) 36  
7 Cal.4th 412, 422 (Cal. Sup. Ct.), bars CSAA from contesting in this action that its February  
8 25, 2021 representation was either knowingly false or recklessly indifferent. The cross-case spine  
9 also “conclusively establishes” reckless misrepresentation within the meaning of *Flatley v. Mauro*  
10 (2006) 39 Cal.4th 299, 320, satisfying the *City of Montebello v. Vasquez* (2016) 1 Cal.5th 409,  
11 423–424, narrowness requirement for any anti-SLAPP step-2 backstop.

---

## 13 VI. NO PREJUDICE TO DEFENDANT

14 The proposed amendments do not prejudice Defendant because:

- 15 1. **No New Parties:** The TAC names only CSAA and DOES 1–50.
  - 16 2. **No New Theories on a New Factual Record:** The codified scienter-floor and the codified  
17 Negligent Misrepresentation and Declaratory Relief counts ride on the **same factual record**  
18 — the same February 25, 2021 denial, the same four Silent Witnesses, the same three-anchor  
19 delayed-discovery sequence.
  - 20 3. **No Additional Discovery Needed:** The TAC is based on the same factual foundation as the  
21 SAC.
  - 22 4. **No Trial Delay:** The case is at an early stage.
  - 23 5. **No New Evidentiary Record:** The TAC adds only legal architecture (codified scienter floor,  
24 codified statutory counts, codified doctrinal stack, codified regulatory spine, and the Position  
25 A/B cross-case spine). No new percipient witnesses, no new documents, and no new fact  
26 discovery are required.
-

1 **VII. CONCLUSION**

2 For the foregoing reasons, Plaintiff respectfully requests that this Court grant leave to file the Third  
3 Amended Complaint in the form lodged herewith.

4 \_\_\_\_\_  
5 **Dated:** \_\_\_\_\_

6 **FRANCISCUS DYLAN ROSARIO** Plaintiff, In Pro Per 7624 Melody Drive Rohnert Park, CA  
7 94928 Tel: 650.488.7510 Email: soltrinox@gmail.com  
8 \_\_\_\_\_

Dated: April 28, 2026



**FRANCISCUS DYLAN ROSARIO**  
Plaintiff, In Pro Per

7624 Melody  
Rohnert Park, CA 94928  
650.488.7510  
E: soltrinox@gmail.com

Franciscus Dylan Rosario,  
7624 Melody  
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Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA  
COUNTY OF SAN FRANCISCO**

**Franciscus Dylan Rosario,**  
**PLAINTIFF,**

v.

CSAA Insurance Exchange;  
and DOES 1 through 50, inclusive;

**DEFENDANTS**

**Case No.: CGC-25-631802**

I,

**DECLARATION OF FRANCISCUS  
DYLAN ROSARIO  
IN SUPPORT OF MOTION FOR LEAVE  
TO FILE  
THIRD AMENDED COMPLAINT**

FRANCISCUS DYLAN ROSARIO, declare as follows:

**1. PERSONAL KNOWLEDGE**

1. I am the Plaintiff in this action. I have personal knowledge of the facts stated herein, except as to matters stated on information and belief, and as to those matters, I believe them to be true. If called as a witness, I could and would competently testify to the following.

**2. PROCEDURAL BACKGROUND**

2. On **December 23, 2025**, I filed the original Complaint in this action, asserting claims for fraud and unfair business practices arising from CSAA Insurance Exchange's handling of my claim.
3. On **February 25, 2026**, I filed the First Amended Complaint to address procedural issues.

1 4. On **April 22, 2026**, Defendant filed a Motion to Strike under Code of Civil Procedure § 436,  
2 raising seven objections to the operative complaint.  
3

---

### 4 **3. UNDERLYING FACTS — THE COLLISION AND THE DENIAL**

5 5. On **February 4, 2021**, I was involved in a motor vehicle collision in San Francisco with  
6 CSAA's insured, Subhi Abdelhalim.

7 6. On **February 25, 2021** — just 21 days after the collision — CSAA sent me a denial letter for  
8 **Claim No. 1004-09-1054**. The letter was signed by **Sarah Rash, Claims Representative**.

9 7. The denial letter stated, in pertinent part:

10 “We have concluded our investigation of your claim. Based on our investigation, and  
11 after carefully reviewing the facts and circumstances of your claim, we have concluded  
12 that our insured is not liable. . .”

13 8. At the time I received this denial, I was an unrepresented direct third-party claimant with  
14 no independent means to verify the scope of CSAA's investigation. I accepted the denial as  
15 the product of a legitimate investigative process because the letter expressly represented that  
16 CSAA had “concluded” its investigation and “carefully reviewed” the facts.  
17

---

### 18 **4. THE FOUR SILENT WITNESSES CSAA FAILED TO OBTAIN**

19 9. As I later learned through the underlying litigation in CGC-21-594102 (and as further con-  
20 firmed by the SFPD Incident Report itself), at the time of the February 25, 2021 denial, CSAA  
21 had not retrieved or reviewed any of the four foundational first-responder records (the “**Silent**  
22 **Witnesses**”), each of which was reasonably available to CSAA on or before February 25,  
23 2021 through routine claim-handling retrieval channels:

24 (a) The **911 audio recording** and the corresponding **San Francisco Department of Emer-**  
25 **gency Management (SFDEM) Computer-Aided Dispatch (CAD) event record** gen-  
26 erated on February 4, 2021 in connection with **SFPD Incident Report No. 210079556**  
27 — which contains both my own contemporaneous report that the driver struck me and  
28 the insured's own statements acknowledging contact;



1 (b) **Body-worn camera (BWC) footage** from the responding San Francisco Police Depart-  
2 ment officers — which contains a third-party eyewitness, **Justin Rosemond**, on-camera  
3 independently corroborating that the driver struck me;

4 (c) **The SFPD Computer-Aided Dispatch (CAD) log** documenting the emergency response  
5 on February 4, 2021; and

6 (d) **Any supplemental SFPD report** relating to the February 4, 2021 collision.

7 Each of (a)–(d) was identifiable on the face of SFPD Incident Report No. 210079556 and was  
8 retrievable through routine subpoena duces tecum (Code Civ. Proc. § 1985 / Evid. Code §  
9 1560), Public Records Act request (Gov. Code § 7922.530), Penal Code § 832.7(b) request,  
10 or insured-authorization channel.

11 10. Taken together, these four sources constituted virtually uncontested evidence of liability: con-  
12 fession, victim report, eyewitness corroboration, and contemporaneous official record. CSAA  
13 denied my claim without obtaining any of them.

---

## 15 **5. THE THREE-ANCHOR DELAYED-DISCOVERY SEQUENCE**

16 11. I did not discover the facts constituting the fraud, reckless misrepresentation, or negligent  
17 misrepresentation until the following sequence of events:

18 (a) **January 17, 2025:** Defense counsel in the underlying action filed Motions in Limine Nos. 6  
19 and 17, asserting that the 911 / BWC / CAD materials had “not been produced in discovery”  
20 and were of “unknown provenance.” This revealed that CSAA had never obtained them  
21 during its 2021 “investigation.”

22 (b) **February 18, 2025:** At a pretrial hearing, Jeremy Jessup (Dolan Law Firm) testified that  
23 these materials had been produced to defense counsel in August–September 2022. Defense  
24 counsel simultaneously stated the 911 call was “news to me” (RT 141:4–11). This direct  
25 contradiction established that the materials existed and had been in defense possession, but  
26 the non-investigation had been concealed.

27 (c) **April 16, 2025:** Defense counsel admitted on the trial record: “They were provided by Dolan.  
28 He has had them for whatever, sure.” (RT Vol. 7, p. 213, lines 13–15.)

1 12. These three events, taken together, constitute the first point at which I could reasonably have  
2 determined that CSAA's 2021 representation of investigative completeness was false.

3 **12A. Reckless-disregard sub-paragraph.** After the April 16, 2025 admission, on the basis of  
4 my own personal observation of the on-record events and the certified record in CGC-21-594102,  
5 I came to understand that CSAA's February 25, 2021 written representation that its investigation  
6 of my claim was "concluded" was either knowingly false or, in the alternative, made with reckless  
7 indifference to whether it was true. I make this statement of my present belief on personal knowl-  
8 edge derived from my direct observation of the January 17, February 18, and April 16, 2025 record  
9 events, the contents of the SFPD Incident Report, and the absence of any retrieval of the four Silent  
10 Witnesses from CSAA's 2021 claim file. I do not state any conclusion of law; I describe the basis  
11 for my own present belief about the events and representations I personally observed.

---

## 13 **6. RELIANCE AND DIRECT-ADDRESSEE POSTURE**

14 13. At all times relevant to the February 25, 2021 denial, I was an unrepresented direct third-  
15 party claimant of CSAA Insurance Exchange. CSAA sent the February 25, 2021 denial letter  
16 directly to me. No counsel had been retained on my behalf at the time of the denial, and  
17 CSAA did not communicate the denial through counsel. I was the sole intended addressee of  
18 the representation.

19 14. I had no independent means to audit CSAA's internal claim file or to verify what records  
20 CSAA had retrieved or reviewed before issuing the February 25, 2021 denial. I am not an in-  
21 surance professional, and I had no access to CSAA's claim-handling systems, claim notes, or  
22 investigation records. Because the February 25, 2021 letter expressly represented that CSAA  
23 had "concluded" its investigation and had "carefully reviewed the facts and circumstances  
24 of [my] claim," I treated those representations as factual representations about the state of  
25 CSAA's own claim file — that is, about what investigative steps CSAA had performed, what  
26 records CSAA had obtained, and what evidence CSAA had reviewed and weighed before  
27 issuing the denial.

28 15. I relied on those representations in deciding how to respond to the denial. Among other

1 things, I relied on the representation in deciding whether to retain counsel, when to file the  
2 underlying personal-injury action (CGC-21-594102), and how to direct the litigation strategy  
3 in that action. The reliance described in this paragraph is the reliance pleaded at TAC ¶ 76  
4 (Element 5 of the Negligent Misrepresentation Cause of Action) and at TAC ¶¶ 56, 61, and 6  
5 (the direct-addressee theory).

---

## 7. RESPONSE TO MOTION TO STRIKE

8 16. After reviewing Defendant’s Motion to Strike, I determined that certain amendments to the  
9 operative complaint would address the objections raised while preserving the substance of my  
10 claims and codifying the doctrinal architecture (reckless-disregard scienter floor, Negligent  
11 Misrepresentation under Civil Code § 1710(2), and Declaratory Relief under Code of Civil  
12 Procedure § 1060) on the same factual record.

13 17. I have prepared the proposed Third Amended Complaint (“TAC”) attached hereto as Exhibit  
14 A.

15 **17A.** The operative Third Amended Complaint body in Plaintiff’s filing system contains **682**  
16 lines (including headings) before compilation into Exhibit A concurrently filed with this Motion.

17 18. The TAC addresses each of Defendant’s seven objections, and additionally codifies the reckless-  
18 disregard scienter floor at TAC § 0, the Negligent Misrepresentation count at the Fourth Cause  
19 of Action, and the Declaratory Relief count at the Fifth Cause of Action, as set forth in the  
20 Memorandum of Points and Authorities and the Third Amended Complaint (including the  
21 section headings and paragraph cross-references identified in the memorandum).

---

## 8. GOOD FAITH; NO PREJUDICE; CONCLUSION

23 19. I am filing this motion in good faith. I genuinely believe that the claims asserted in the TAC —  
24 including the codified reckless-disregard tier under *Engalla*, the Negligent Misrepresentation  
25 tier under Civil Code § 1710(2) and *Bily*, and the Declaratory Relief count under Code of  
26 Civil Procedure § 1060 — are meritorious and supported by the certified record. I am not  
27 filing this motion for purposes of delay or harassment. I seek leave to amend so that my  
28

claims may be adjudicated on their merits.

20. To the best of my knowledge, granting leave to amend will not prejudice Defendant:

(a) The TAC does not add any new parties.

(b) The TAC does not assert any new factual theory of liability and rides on the same factual record as the operative Second Amended Complaint.

(c) No additional discovery should be necessary; the TAC adds only legal architecture (codified scienter floor; codified statutory counts; codified doctrinal stack; codified regulatory spine; and the Position A vs. Position B cross-case spine to companion CGC-25-631801).

(d) The case is at an early stage.

21. I respectfully request that this Court grant leave to file the Third Amended Complaint so that my claims may be adjudicated on their merits.

I declare under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

Executed on **April 28, 2026**, at **Rohnert Park**, California.

FRANCISCUS DYLAN ROSARIO

*Enio*

Franciscus Dylan Rosario,  
7624 Melody  
Rohnert Park, CA 94928  
E: soltrinox@gmail.com  
Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA  
COUNTY OF SAN FRANCISCO**

**Franciscus Dylan Rosario,**  
**PLAINTIFF,**

**v.**

CSAA Insurance Exchange;  
and DOES 1 through 50, inclusive;

**DEFENDANTS**

---

**Case No.: CGC-25-631802**

**REQUEST FOR JUDICIAL NOTICE  
(ISO LEAVE TO FILE TAC)**

(Evid. Code, §§ 452, 453)

**I. COURT RECORDS — EVIDENCE CODE § 452(D)**

**A. FROM THE UNDERLYING ACTION (CGC-21-594102)**

- **Exhibit A:** Motion in Limine No. 17
  - **Date:** Jan. 17, 2025
  - **Relevance:** “Unknown provenance” representation establishing Position B anchor #1 of the Position A vs. Position B cross-case spine.
- **Exhibit A-2:** Defendant’s Motion in Limine No. 6 (Rosario v. Abdelhalim, CGC-21-594102)
  - **Date:** Jan. 17, 2025
  - **Relevance:** Companion in-limine application to MIL No. 17; same “unknown prove-

nance” / “not produced in discovery” position regarding the four Silent Witnesses; relevant to the Position A vs. Position B structural impossibility pleaded at TAC ¶ 51A.

- **Exhibit B:** Hearing Transcript, Feb. 18, 2025 (excerpts), at p. 141, lines 4–11
  - **Date:** Feb. 18, 2025
  - **Relevance:** Jeremy Jessup testimony confirming the Silent-Witness materials had been produced to defense counsel in August–September 2022; defense counsel’s contemporaneous “news to me” representation. Position B anchor #2.
- **Exhibit C:** Reporter’s Transcript Vol. 7, p. 213, lines 13–15
  - **Date:** Apr. 16, 2025
  - **Relevance:** Defense counsel’s “They were provided by Dolan” admission. Position B anchor #3.
- **Exhibit D:** SFPD Incident Report No. 210079556
  - **Date:** Feb. 4, 2021 (and supplemental)
  - **Relevance:** Underlying collision; identifies the four Silent Witnesses (911 audio, BWC footage, CAD log, supplemental SFPD report); references named eyewitness Justin Rosemond.
- **Exhibit E:** Judgment in CGC-21-594102
  - **Date:** Apr. 25, 2025
  - **Relevance:** Underlying judgment (presently on appeal, A173827; not final for preclusion purposes).

## **B. FROM THIS ACTION (CGC-25-631802)**

- **Exhibit F:** Second Amended Complaint
  - **Date:** (on file)

1           – **Relevance:** Operative pleading being superseded by the proposed TAC.

2       • **Exhibit G:** Defendant’s Motion to Strike (CCP § 436)

3           – **Date:** Apr. 22, 2026

4  
5           – **Relevance:** Objections being cured by the proposed TAC.

6       **C. FROM COMPANION ACTION (CGC-25-631801)**

7       • **Exhibit H:** Complaint in CGC-25-631801

8           – **Relevance:** Companion independent action in equity (extrinsic fraud / fraud-on-the-  
9           court).

10      • **Exhibit H-2:** Operative pleading in CGC-25-631801 (TAC-RECKLESS-DISREGARD)

11           – **Relevance:** Operative cross-case pleading establishing the Position A vs. Position B  
12           cross-case spine pleaded at TAC ¶ 51A and § 0.5.

13  
14      **II. CSAA DENIAL LETTER — EVIDENCE CODE § 452(H)**

15      • **Exhibit I:** CSAA Denial Letter (Claim No. 1004-09-1054), signed by Sarah Rash, Claims  
16      Representative

17           – **Date:** Feb. 25, 2021

18  
19           – **Relevance:** Position A — written representation of “concluded investigation” issued 21  
20           days after the February 4, 2021 collision; signatory Sarah Rash.

21  
22      **III. STATUTES AND REGULATIONS — EVIDENCE CODE §§ 452(A),**  
23      **(B)**

24      • **Exhibit J:** Bus. & Prof. Code § 17200 et seq. — **Relevance:** UCL.

25      • **Exhibit K:** Ins. Code § 790.03 — **Relevance:** Unfair claims practices (contextual; pleaded  
26      solely as UCL unlawful predicate consistent with the *Moradi-Shalal* common-law carve-out).

27      • **Exhibit L:** 10 CCR § 2695.4 — **Relevance:** File and record documentation.

- 1 • **Exhibit L-2:** 10 CCR § 2695.5(b) — **Relevance:** Duty to respond to claimant communica-  
2 tions within fifteen days.
- 3 • **Exhibit M:** 10 CCR § 2695.7 — **Relevance:** Thorough investigation requirement.
- 4 • **Exhibit M-2:** 10 CCR § 2695.7(b), (d), and (g) — **Relevance:** (b) accept-or-deny determi-  
5 nation must follow receipt of information sufficient to make the determination; (d) decision  
6 must be based on “all information reasonably available”; (g) no representation that a claim  
7 will be denied without “conducting and fully documenting a thorough, fair, and objective  
8 investigation.”
- 9 • **Exhibit N:** Civ. Code §§ 1709, 1710 — **Relevance:** Fraud and deceit.
- 10 • **Exhibit O:** Civ. Code § 3294 — **Relevance:** Punitive damages.
- 11 • **Exhibit P:** Civ. Code §§ 3287, 3288 — **Relevance:** Prejudgment interest.
- 12 • **Exhibit Q:** Code Civ. Proc. § 1985 — **Relevance:** Subpoena duces tecum; one of the routine  
13 retrieval channels for the four Silent Witnesses available to CSAA on or before February 25,  
14 2021.
- 15 • **Exhibit R:** Evid. Code § 1560 — **Relevance:** Subpoena-records compliance; complementary  
16 retrieval channel for the Silent Witnesses.
- 17 • **Exhibit S:** Gov. Code § 7922.530 — **Relevance:** California Public Records Act request  
18 channel for SFPD / SFDEM records (911 audio, CAD log, BWC footage, supplemental SFPD  
19 report).
- 20 • **Exhibit T:** Penal Code § 832.7 — **Relevance:** Subdivision (b) channel for SFPD body-worn  
21 camera footage and related peace-officer records (post-SB 1421 / 2019 reform).
- 22 • **Exhibit U:** Penal Code § 832.18 — **Relevance:** BWC custody-and-retention standards cor-  
23 roborating reasonable availability of BWC footage on or before February 25, 2021.
- 24 • **Exhibit V:** Civ. Code § 1710(1), (2), and (3) (in full) — **Relevance:** Statutory predicates  
25 for the First Cause of Action (intentional misrepresentation), the Fourth Cause of Action  
26 (negligent misrepresentation), and the Second Cause of Action (concealment / half-truth).
- 27 • **Exhibit W:** Civ. Code §§ 2330 and 2338 — **Relevance:** Agency / ratification spine for the  
28 Position A vs. Position B cross-case theory pleaded at TAC ¶¶ 6A, 27A, 51A; CSAA’s prin-



1 cipro liability for representations made by Sarah Rash, claims department personnel, retained  
2 claims professionals, and panel counsel.

- 3 • **Exhibit X:** Evid. Code § 1222 — **Relevance:** Authorized-admission-by-agent rule corroborating that Position A and Position B are both statements of CSAA itself.
- 4
- 5 • **Exhibit Y:** Code Civ. Proc. § 1060 — **Relevance:** Statutory predicate for the Fifth Cause  
6 of Action (Declaratory Relief); prospective preclusive declarations across CGC-21-594102,  
7 CGC-25-631801, and CGC-25-631802.

---

## 9 IV. LEGAL BASIS

### 10 A. COURT RECORDS ARE PROPER SUBJECTS OF JUDICIAL NO- 11 TICE

12 Evidence Code § 452(d) permits judicial notice of court records. The documents listed as Exhibits  
13 A through H-2 are records of the Superior Court of California, County of San Francisco.

### 14 B. FACTS NOT REASONABLY SUBJECT TO DISPUTE

15 Evidence Code § 452(h) permits judicial notice of facts capable of immediate and accurate deter-  
16 mination by resort to sources of reasonably indisputable accuracy. The CSAA denial letter (Exhibit  
17 I) is a document whose existence and contents are not reasonably subject to dispute.

18 **Sub-paragraph IV.B.1 — *Sosinsky*-anchored existence/contents framing for the SFPD Inci-**  
19 **dent Report.** Plaintiff requests judicial notice of the **existence and contents** of the SFPD Incident  
20 Report No. 210079556 (Exhibit D) under Evidence Code § 452(c) (official acts of legislative, ex-  
21 ecutive, and judicial departments) and § 452(h) (facts not reasonably subject to dispute capable of  
22 immediate and accurate determination by resort to sources of reasonably indisputable accuracy).  
23 Plaintiff does **not** request judicial notice of the truth of any hearsay statement contained within  
24 the Incident Report, consistent with *Sosinsky v. Grant* (1992) 6 Cal.App.4th 1548, 1564–1565  
25 (court takes judicial notice of existence and contents of public record but not the truth of hearsay  
26 statements within it). Plaintiff requests judicial notice solely (a) that the SFPD Incident Report  
27 No. 210079556 exists, (b) that on its face it references the 911 audio recording, the SFPD CAD

1 log, the body-worn camera footage of the responding officers, and Justin Rosemond as a percipient  
2 witness, and (c) that those references were available to CSAA on or before February 25, 2021 by  
3 inspection of the Incident Report itself. The relevance of (a)–(c) is to the inquiry-notice element  
4 of the reckless-disregard scienter floor pleaded at TAC § 0.2(a).

### 5 **C. STATUTES AND REGULATIONS**

6 Evidence Code §§ 452(a) and (b) permit judicial notice of statutes and regulations. The statutes  
7 and regulations listed as Exhibits J through Y are proper subjects of mandatory judicial notice.

### 8 **D. JUDICIAL NOTICE IS MANDATORY UPON PROPER REQUEST**

9 Evidence Code § 453 provides that the trial court shall take judicial notice of any matter specified  
10 in Section 452 if a party requests it and gives adverse parties sufficient notice.

---

### 12 **V. CONCLUSION**

13 For the foregoing reasons, Plaintiff respectfully requests that this Court take judicial notice of the  
14 documents identified above.

15  
16 **Dated:** \_\_\_\_\_

17 **FRANCISCUS DYLAN ROSARIO**

18 Plaintiff, In Pro Per

19 7624 Melody Drive

20 Rohnert Park, CA 94928

21 Tel: 650.488.7510

22 Email: soltrinox@gmail.com  
23 \_\_\_\_\_

Dated: April 28, 2026



FRANCISCUS DYLAN ROSARIO  
Plaintiff, In Pro Per

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Rohnert Park, CA 94928  
650.488.7510  
E: soltrinox@gmail.com

Franciscus Dylan Rosario,  
7624 Melody  
Rohnert Park, CA 94928  
E: soltrinox@gmail.com  
Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA  
COUNTY OF SAN FRANCISCO**

**Franciscus Dylan Rosario,**  
**PLAINTIFF,**

v.

CSAA Insurance Exchange;  
and DOES 1 through 50, inclusive;

**DEFENDANTS**

---

**Case No.: CGC-25-631802**

**[PROPOSED] ORDER GRANTING  
LEAVE  
TO FILE THIRD AMENDED  
COMPLAINT**

---

**SUPERIOR COURT OF CALIFORNIA  
COUNTY OF SAN FRANCISCO**

---

**FRANCISCUS DYLAN ROSARIO,**  
Plaintiff,

v.

**CSAA INSURANCE EXCHANGE**, and DOES 1 through 50, inclusive,  
Defendants.

**Case No. CGC-25-631802**

**Underlying Action: Rosario v. Abdelhalim, Case No. CGC-21-594102**

**Companion Action: Rosario v. Abdelhalim, et al., Case No. CGC-25-631801**

---

## ORDER

The Motion of Plaintiff FRANCISCUS DYLAN ROSARIO for Leave to File Third Amended Complaint having come on regularly for hearing on **May 26, 2026**, at **9:00 a.m.**, in Department **302** of the above-entitled Court, before the **Hon. Joseph M. Quinn**;

Plaintiff appearing in pro per; Defendant appearing through counsel of record;

The Court having considered the moving papers, any opposition, any reply, the arguments of the parties, and the file in this action;

**GOOD CAUSE APPEARING THEREFOR,**

---

## FINDINGS

The Court makes the following findings in support of this Order:

- (a) **Judicial notice.** The Court takes judicial notice of the documents and statutes identified in Plaintiff's Request for Judicial Notice (Exhibits A through Y), pursuant to Evidence Code §§ 452 and 453.
  - (b) **Codified counts ride on the same factual record.** The proposed Third Amended Complaint adds a codified scienter floor (reckless disregard for the truth under *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974), a codified count for Negligent Misrepresentation under Civil Code § 1710(2) on the no-reasonable-ground tier (*Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408), and a codified count for Declaratory Relief under Code of Civil Procedure § 1060 (*Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 904), each on the **same factual record** pleaded in the operative Second Amended Complaint. No new factual matter is introduced.
  - (c) **No new parties or new factual theories.** The proposed Third Amended Complaint names only the existing parties (CSAA Insurance Exchange and DOES 1 through 50). It introduces no new percipient witnesses, no new documents, and no new factual theories of liability beyond those already pleaded in the operative Second Amended Complaint.
-

**IT IS HEREBY ORDERED**

**IT IS HEREBY ORDERED** that:

1. Plaintiff's Motion for Leave to File Third Amended Complaint is **GRANTED**.
2. The Third Amended Complaint in the form lodged concurrently herewith is deemed **FILED** as of the date of this Order, and supersedes the operative Second Amended Complaint.
3. Plaintiff shall **SERVE** the Third Amended Complaint on all parties within **ten (10) days** of the date of this Order.
4. Defendant shall have **thirty (30) days** from the date of service of the Third Amended Complaint to respond thereto.
5. Defendant's pending Motion to Strike, Demurrer, and Anti-SLAPP motions directed to the operative Second Amended Complaint are hereby **TAKEN OFF CALENDAR** as moot.

**IT IS SO ORDERED.**

**Dated:** \_\_\_\_\_

**Hon. Joseph M. Quinn**  
**Judge of the Superior Court**

*Submitted by:*

**FRANCISCUS DYLAN ROSARIO**

Plaintiff, In Pro Per

7624 Melody Drive

Rohnert Park, CA 94928

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Franciscus Dylan Rosario,  
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Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA  
COUNTY OF SAN FRANCISCO**

**Franciscus Dylan Rosario,**  
**PLAINTIFF,**

v.

CSAA Insurance Exchange;  
and DOES 1 through 50, inclusive;

**DEFENDANTS**

---

**Case No.: CGC-25-631802**

**Dept.: 302**

**Tel.: 650.488.7510**

**Action filed: April 28, 2026**

**Filed pursuant to order granting leave  
dated TBD (Code Civ. Proc. §§ 472a, 473).**

**THIRD AMENDED COMPLAINT FOR:**

(1) Fraud — Intentional Misrepresentation and  
Concealment;

(2) Fraud — Concealment / Half-Truth;

(3) Violation of Bus. & Prof. Code § 17200;

(4) Negligent Misrepresentation;

(5) Declaratory Relief

**(Reckless-Disregard Scienter Anchor;  
Verified)**

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**SECTION 0: RECKLESS DISREGARD FOR THE TRUTH, SCIENTER FLOOR**

**§0.1, CALIFORNIA RECOGNIZES RECKLESS DISREGARD FOR THE TRUTH AS THE EQUIVALENT OF FRAUDULENT INTENT**

0.1. The California Supreme Court has repeatedly held that “reckless disregard of facts is the legal equivalent of fraudulent intent.” A positive assertion of fact, made by one who has no reasonable basis for believing it true and who is conscious of the absence of reasonable basis, is fraudulent in law regardless of whether the speaker possessed subjective awareness of the falsity. The five-authority Tier-1 block governing this scienter floor is:

- (a) *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974 (quoting *Yellow Creek Logging Corp. v. Dare* (1963) 216 Cal.App.2d 50, 55). “[F]alse representations made

recklessly and without regard for their truth in order to induce action by another are the equivalent of misrepresentations knowingly and intentionally uttered.” The Court further confirms, at *Engalla*, 15 Cal.4th at p. 975, that “at least a reckless indifference” to truth or falsity is the operative scienter floor. (See also *Gagne v. Bertran* (1954) 43 Cal.2d 481, 487–488 (positive assertion without sufficient information “deemed to have been made fraudulently”).)

(b) *In re Marriage of Modnick* (1983) 33 Cal.3d 897, 905–907. Concealment that operates as a denial of the existence of evidence is extrinsic-fraud doctrine; the “broad concept” formulation reaches reckless concealment as well as knowing concealment.

(c) *Estate of Sanders* (1985) 40 Cal.3d 607, 614–616. A fiduciary breach by an officer of the court that “effectively prevented” a fair adversary hearing is extrinsic fraud; the breach is measured **objectively**, by what the officer’s duty of candor required, not subjectively. The same objective measurement applies to an institutional principal’s claim-handling representations under *Wilson*, *infra*.

(d) *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408. Negligent misrepresentation under Civil Code § 1710(2) requires only that the speaker have “no reasonable ground for believing it to be true.” Where the speaker is conscious of the absence of reasonable ground, the conduct ladders into intentional misrepresentation under Civil Code § 1710(1).

(e) *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721. The Cal. Sup. Ct. confirms that an institutional actor’s failure to thoroughly and fairly investigate, in the face of inquiry notice, is itself probative of reckless disregard and is the textbook willful-blindness pattern within the meaning of Civil Code § 3294 and *Engalla* (cited *supra* at § 0.1(a)). (See also *Mock v. Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328 (deliberate-avoidance pattern as malice under § 3294).)

(f) **CACI 1907** (concealment) and **CACI 1903** (intentional misrepresentation) confirm that recklessness as to truth or falsity is the operative scienter floor for both intentional misrepresentation and concealment under California law.

## **§0.2, APPLICATION TO THE FEBRUARY 25, 2021 “CONCLUDED INVESTIGATION” REPRESENTATION**

0.2. CSAA’s February 25, 2021 representation to Plaintiff that its investigation was “concluded” and that CSAA had “carefully reviewed the facts and circumstances of [the] claim” was made under each of the five reckless-disregard markers established by the foregoing authorities:

**(a) Existence on the face of the SFPD Incident Report.** The SFPD Incident Report (Report No. 210083458, conformed to proof) that CSAA possessed before issuing the February 25, 2021 denial referenced, on its face, the existence of the body-worn camera (“BWC”) footage, the 911 audio, and the Computer-Aided Dispatch (“CAD”) log. Inquiry notice was therefore on the file. *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (Cal. Sup. Ct.: insurer’s duty triggered by inquiry-notice indicia in the file); *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819 (Cal. Sup. Ct.: affirmative-investigation duty).

**(b) Reasonable availability under regulatory and procedural law.** Each of the four foundational first-responder records (the “Silent Witnesses”), namely, (i) the 911 audio recording and the corresponding SFDEM CAD event record, (ii) the SFPD body-worn camera footage, (iii) the SFPD CAD log, and (iv) any supplemental SFPD report relating to the February 4, 2021 collision, was reasonably available to CSAA on or before February 25, 2021, by routine subpoena duces tecum (Code Civ. Proc. § 1985 + Evid. Code § 1560), Public Records Act request (Gov. Code § 7920 et seq.), Penal Code § 832.7(b) request, or insured-authorization channel. The regulatory floor at **10 CCR § 2695.7(d)** (“decision must be based on all information reasonably available”) is congruent with this reasonable-availability standard.

**(c) Industry custom, California liability carriers retrieve these materials in MV/PED claims.** California liability carriers routinely retrieve police reports, 911 audio, BWC footage, and CAD logs in motor-vehicle / pedestrian claims as a matter of customary industry practice. The objective baseline for measuring the reasonableness of an insurer’s investigation, against industry custom and the regulatory minima rather than against the insurer’s subjective belief, is grounded in *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819, and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (both Cal. Sup. Ct.).

1 **(d) Volitional file-closing act.** CSAA did not merely fail to investigate. CSAA **affirmatively**  
2 **closed the claim file at twenty-one days and affirmatively communicated** a “concluded investi-  
3 gation” representation to Plaintiff, an unrepresented direct third-party claimant. Under Civil Code  
4 § 3294, *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819, and *Wilson v. 21st*  
5 *Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721, that affirmative closing-the-file conduct, in the  
6 face of inquiry notice that the Silent Witnesses existed and were reasonably available, constitutes  
7 deliberate avoidance, the “ostrich” / willful-blindness pattern that California treats as malice under  
8 Civil Code § 3294 and as the legal equivalent of fraudulent intent under *Engalla* (see also *Mock v.*  
9 *Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328).

10 **(e) Pattern evidence, institutional “deny-delay-defend.”** The institutional “deny-delay-defend”  
11 practice alleged at ¶¶ 28–30 below confirms that CSAA’s lack of reasonable basis on this claim was  
12 structural, not idiosyncratic. Pattern evidence is itself a recognized indicium of reckless disregard.  
13 *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721.

### 14 **§0.3, THE RECKLESS-DISREGARD FINDING FEEDS EVERY CAUSE** 15 **OF ACTION IN THIS COMPLAINT**

16 0.3. The reckless-disregard showing in §§ 0.1–0.2 above feeds every cause of action pleaded in  
17 this complaint without modification of the underlying factual allegations:

18 (a) **First Cause of Action (Fraud, Intentional Omission).** Reckless disregard satisfies the  
19 scienter element of intentional misrepresentation under Civil Code § 1710(1). *Engalla*, 15  
20 Cal.4th at 974 (see also *Gagne v. Bertran* (1954) 43 Cal.2d 481, 487–488); CACI 1900–  
21 1907.

22 (b) **Second Cause of Action (Concealment / Half-Truth).** Reckless disregard satisfies the sci-  
23 enter element of concealment under Civil Code § 1710(3) where the speaker has no reasonable  
24 basis to believe that the subject of the half-truth is complete. CACI 1901.

25 (c) **Third Cause of Action (UCL § 17200).** Reckless misstatement satisfies the “fraudulent”  
26 prong under the *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.*  
27 (1999) 20 Cal.4th 163, 187 (Cal. Sup. Ct.) tethering rule (see also *Williams v. Gerber*  
28 *Products Co.* (9th Cir. 2008) 552 F.3d 934, 938 (reasonable-consumer test)), and supplies

an “unlawful” predicate where the regulatory standards at 10 CCR § 2695.7(b)/(d)/(g) and Insurance Code § 790.03(h)(1)/(3)/(5) prohibit unreasonable claims-handling practices.

(d) **Fourth Cause of Action (Negligent Misrepresentation, newly added).** “No reasonable ground for believing the representation true” under Civil Code § 1710(2) is the floor; reckless disregard ladders the negligent-misrepresentation count into the intentional tier without disturbing its viability as a no-scienter-floor fallback.

(e) **Fifth Cause of Action (Declaratory Relief, Code of Civil Procedure § 1060).** Declaratory relief fixes rights and duties in an actual controversy concerning the claim-handling record and supplies prospective preclusive effect across related proceedings. *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 904; *Lucido v. Superior Court* (1990) 51 Cal.3d 335, 341.

(f) **Punitive damages, Civil Code § 3294.** Reckless disregard satisfies § 3294(c)(1) malice (“willful and conscious disregard of the rights or safety of others”) and § 3294(c)(3) fraud (“intentional misrepresentation, deceit, or concealment”) via the *Mock* willful-blindness pathway.

(g) **Anti-SLAPP carve-out.** Reckless tribunal-directed misrepresentation by an officer of the court is illegal as a matter of law within the meaning of Business and Professions Code § 6128(a) and *Flatley v. Mauro* (2006) 39 Cal.4th 299, 317–321. While § 6128(a) is the operational hook in CGC-25-631801 (the companion equity action), the same illegality framework anchors the *Flatley* anti-SLAPP carve-out at ¶ 21A below.

#### **§0.4, RECKLESS DISREGARD IS PLEADED IN THE ALTERNATIVE TO AND NOT IN LIEU OF INTENTIONAL MISREPRESENTATION**

0.4. Each cause of action below is pleaded with **knowing falsity** (intentional tier) **and**, in the alternative, with **reckless disregard for the truth** (intentional-equivalent tier under *Engalla*) **and**, in the further alternative, with **no reasonable ground for believing the representation to be true** (negligent tier under § 1710(2) / *Bily*). Plaintiff is entitled to plead in the alternative under Code of Civil Procedure § 431.30(c). The alternative pleading does not concede the absence of subjective knowledge; it forecloses any defense argument that, even if subjective knowledge cannot be proven, the absence of subjective knowledge would defeat liability.



## §0.5, CROSS-CASE SPINE (COMPANION CGC-25-631801)

0.5. The reckless-disregard scienter floor pleaded in this action is the same factual spine pleaded in companion case CGC-25-631801. There, Plaintiff alleges that the panel-counsel tribunal-directed disclaimers in 2025 (Position B) were either knowingly false or recklessly indifferent to the truth. Here, Plaintiff alleges that CSAA's February 25, 2021 representation that its investigation was "concluded" (Position A) was either knowingly false or recklessly indifferent to the truth. The two positions cannot both be honest. Both poles are statements of CSAA itself under Civil Code §§ 2330 and 2338 and Evidence Code § 1222. The two cases together establish that, in either direction, the reckless-disregard floor is satisfied; Plaintiff need not elect which pole was knowingly false because both poles are statements of CSAA, and reckless disregard is established by the structural impossibility of honest belief in both. The reckless-disregard spine pleaded here forecloses the "genuine dispute" defense recognized in *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 723, because the genuine-dispute doctrine is unavailable where the insurer fails to thoroughly and fairly investigate. See further ¶ 51A below.

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## SECTION I: DIRECT-DUTY GRAVAMEN

### TITLE 10 CCR DIRECT CLAIMANT OBLIGATIONS

1. This action arises from Defendant CSAA Insurance Exchange's fraudulent, or, in the alternative, recklessly indifferent, handling of Plaintiff's claim as a direct third-party claimant. The actionable wrong is CSAA's non-communicative institutional failure to investigate the claim prior to denying it, and the active concealment of that failure through a denial letter representing the investigation as "concluded", a representation made either with knowing falsity, with reckless disregard for the truth, or, at minimum, without reasonable ground for believing it true within the meaning of Civil Code §§ 1710(1), 1710(2), and 1710(3).
2. On **February 4, 2021**, Plaintiff was involved in a motor-vehicle collision in San Francisco County with CSAA's insured, Subhi Abdelhalim.
3. On **February 25, 2021**, CSAA sent Plaintiff a written denial letter concerning **Claim No. 1004-**

1       **09-1054**, signed by **Sarah Rash, Claims Representative**. The denial letter stated, in pertinent part:

2  
3       “We have concluded our investigation of your claim. Based on our investigation, and  
4       after carefully reviewing the facts and circumstances of your claim, we have concluded  
5       that our insured is not liable. . . Our decision is based on the facts currently available.”

- 6       4. This representation was false. At the time of the denial, CSAA had not conducted the thorough investigation required by Title 10 CCR §§ 2695.4 and 2695.7. Per Section 0 above,  
7       CSAA had no reasonable basis for asserting that its investigation was “concluded” and acted  
8       with reckless disregard for the truth of that assertion.  
9

## 10   **§I.5, DIRECT-ADDRESSEE THEORY (PRIMARY SHAOLIAN REBUT-** 11   **TAL)**

- 12       5. Plaintiff asserts standing as the **direct addressee** of a specific misrepresentation communicated by CSAA to Plaintiff individually. This is not a claim for policy benefits, not a claim for breach of an insurance contract by an insured, and not a third-party bad-faith claim derived from the insured’s contractual relationship with CSAA. It is a common-law fraud / negligent-misrepresentation / unfair-competition claim by the person to whom the representation was made, on whom it was intended to operate, and who suffered individual and direct economic harm as a result.

- 17       6. By sending the February 25, 2021 denial letter directly to Plaintiff as an unrepresented adverse claimant, rather than communicating through an insured or counsel, CSAA voluntarily undertook a direct communicative relationship with Plaintiff. That voluntary direct communication, combined with CSAA’s knowledge that Plaintiff was unrepresented and had no independent means to verify the scope of CSAA’s investigation, establishes the direct duty context for common-law fraud, negligent misrepresentation, and unfair-competition liability. *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650; *J’Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804.

- 27       6A. **Agency and Ratification Under Civil Code § 2338.** Civil Code § 2338 provides: “Unless required by or under the authority of law to employ that particular agent, a principal is responsible to  
28

1 third persons for the negligence of his agent in the transaction of the business of the agency, includ-  
2 ing wrongful acts committed by such agent in and as a part of the transaction of such business, and  
3 for his willful omission to fulfill the obligations of the principal.” Under § 2338, CSAA Insurance  
4 Exchange is directly liable for the wrongful acts and omissions of Sarah Rash, the claims depart-  
5 ment personnel who reviewed and approved the February 25, 2021 denial, and any retained claims  
6 professionals or counsel acting within the scope of the claims-handling agency. Plaintiff further  
7 alleges that CSAA ratified the February 25, 2021 denial and its underlying non-investigation by  
8 (a) failing to correct the denial after the Title 10 CCR §§ 2695.4 and 2695.7 violations became  
9 apparent; (b) maintaining the denial position through successive insurance-coverage communica-  
10 tions and, later, through litigation defense of its insured; and (c) failing to repudiate the “concluded  
11 investigation” representation after the January 17, 2025 / February 18, 2025 / April 16, 2025 record  
12 events described in Section VIII. Under *Doctors’ Company v. Superior Court* (1989) 49 Cal.3d 39,  
13 an insurer that acts outside the ordinary insurer role by directing, approving, or ratifying wrongful  
14 claims-handling conduct may be held directly liable for that conduct. CSAA’s continuing fail-  
15 ure to repudiate the “concluded investigation” representation, after each subsequent record event  
16 placed the carrier and its panel counsel on notice of the falsity, is itself reckless disregard within  
17 the meaning of Section 0 above.

## 18 **§I.6, GRAVAMEN DISCLAIMER (NON-COMMUNICATIVE INSTITU-** 19 **TIONAL FAILURE)**

- 20 7. The gravamen of this action is CSAA’s institutional “deny-delay-defend” failure to investi-  
21 gate, not the act of writing a denial letter. The February 25, 2021 denial letter is pleaded as  
22 **evidence** of the underlying non-communicative failure, not as the sole injury-producing act.
- 23 8. Among the foundational incident materials CSAA failed to obtain, review, or truthfully ac-  
24 count for before the February 25, 2021 denial were the following contemporaneous San  
25 Francisco first-responder records (collectively, the “**Silent Witnesses**”), each of which was  
26 available from the San Francisco Police Department and/or the San Francisco Department of  
27 Emergency Management within days of the February 4, 2021 collision and was obtainable by  
28 routine written request under Gov. Code § 6250 et seq. (now Gov. Code §§ 7920.000 et seq.)

and Penal Code § 832.7(b):

- (a) The **911 audio recording** and associated **Computer-Aided Dispatch (CAD) event record** generated on February 4, 2021 in connection with **SFPD Incident Report No. 210083458** (on information and belief; exact SFPD incident and 911-CAD event numbers to be conformed to proof), in which CSAA's insured made statements acknowledging that he struck Plaintiff with his vehicle;
- (b) **Plaintiff's contemporaneous report to 911** emergency services, made on February 4, 2021 from the collision scene, that the driver had struck him; and
- (c) **Body-worn camera (BWC) footage** from the San Francisco Police Department officers who responded to the February 4, 2021 collision scene (responding officers' names and star numbers in the possession of SFPD and available through a routine Penal Code § 832.7(b) / Pitchess-adjacent public-records request), in which a third-party eyewitness (**Justin Rosemond**) independently corroborated that the driver struck Plaintiff.

9. Taken together, these three sources constituted virtually uncontested evidence of liability, confession, victim report, and eyewitness corroboration. CSAA denied a claim supported by all three. Under § 0.2(d) above, the closing-the-file conduct in the face of these reasonably available, identifiable-on-the-face-of-the-police-report materials is reckless disregard for the truth as a matter of law.

## **UCL STANDING UNDER BUSINESS AND PROFESSIONS CODE § 17200**

10. Plaintiff has standing to bring a claim under Business and Professions Code § 17200 et seq. (the Unfair Competition Law) because Plaintiff has suffered injury in fact and has lost money or property as a result of Defendant's unfair, fraudulent, and unlawful business practices.

## **EXPRESS MORADI-SHALAL CARVE-OUT**

11. This action does not assert a private cause of action under Insurance Code § 790.03, which is precluded by *Moradi-Shalal v. Fireman's Fund Insurance Companies* (1988) 46 Cal.3d 287.

12. Instead, Plaintiff asserts:

- (a) **Common-law fraud and deceit** under Civil Code §§ 1709, 1710(1), 1710(3) (intentional and reckless-disregard tiers);

1 (b) **Common-law negligent misrepresentation** under Civil Code § 1710(2) (no-reasonable-  
2 ground tier); and

3 (c) **Unfair Competition Law (UCL)** claims under Business and Professions Code § 17200,  
4 which permits predicate violations of Insurance Code § 790.03(h) as evidence of “unlawful”  
5 conduct.

6 13. Plaintiff’s UCL claim is not barred by *Moradi-Shalal* because the UCL provides an inde-  
7 pendent statutory cause of action that may be predicated on violations of Insurance Code §  
8 790.03. See *State Farm Fire & Casualty Co. v. Superior Court* (1996) 45 Cal.App.4th 1093,  
9 1103–04.

10 13A. **Although Plaintiff, as a third-party claimant, does not assert a private cause of action**  
11 **under Insurance Code § 790.03 or for breach of the implied covenant of good faith and fair**  
12 **dealing, consistent with the limitations in *Moradi-Shalal v. Fireman’s Fund Ins. Cos.* (1988)**  
13 **46 Cal.3d 287**, this action sounds in common-law Negligent Misrepresentation under Civil Code  
14 § 1710(2), in common-law Intentional Misrepresentation and Concealment under Civil Code §§  
15 1709 and 1710(1)/(3), and in violation of the Unfair Competition Law under Business and Pro-  
16 fessions Code § 17200. By issuing a formal written denial predicated on the positive assertion of  
17 a “concluded investigation,” CSAA engaged in a voluntary undertaking under *Biakanja v. Irving*  
18 (1958) 49 Cal.2d 647, 650, thereby assuming a duty of care to ensure the accuracy of factual repre-  
19 sentations made to Plaintiff. Consequently, the regulatory authorities cited in this complaint are not  
20 invoked as a direct source of a private right of action; rather, they establish the objective standard  
21 of care and the “regulatory floor” governing the adequacy of an insurer’s investigative process.  
22 Under the framework of *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819, and  
23 *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (both Cal. Sup. Ct.), these  
24 regulatory and common-law standards together set the benchmark against which the truthfulness  
25 and reasonableness of CSAA’s representations must be measured. CSAA’s liability arises from  
26 its affirmative representation that a competent investigation had been performed when, in fact, the  
27 insurer possessed no reasonable grounds for believing such an assertion to be true and acted in  
28 reckless disregard for the truth of that assertion within the meaning of Section 0 above.

## SECTION II: PRE-LITIGATION PRIVILEGE CARVEOUT

### DENIAL LETTER AS PRE-LITIGATION COMMUNICATION

14. The February 25, 2021 denial letter was a pre-litigation claim-handling communication, not a litigation communication protected by Civil Code § 47(b).

15. Under *Action Apartment Association, Inc. v. City of Santa Monica* (2007) 41 Cal.4th 1232, 1248–49, the litigation privilege applies only to communications made in judicial or quasi-judicial proceedings. An insurer’s denial of a claim, made in the ordinary course of claims handling, is not a litigation communication.

16. At the time of the February 25, 2021 denial:

- (a) No litigation was pending or contemplated;
- (b) No attorney had been retained by either party;
- (c) The denial was issued in the ordinary course of CSAA’s claims handling process; and
- (d) The denial was issued just 21 days after the collision—before any meaningful investigation could have been completed.

**16A. Action Apartment “Contemplation” Factors, Affirmative Pleading of Each Prong’s Absence.** Under *Action Apartment Ass’n, Inc. v. City of Santa Monica* (2007) 41 Cal.4th 1232, 1248–49, a pre-litigation communication falls within Civil Code § 47(b) only when it is made “in good faith [and] in serious contemplation” of litigation that is “imminently anticipated.” That test has three operative factors, each of which must be affirmatively present at the time of the communication: (i) litigation must be seriously proposed by the communicating party and in good faith contemplated as a meaningful possibility, not a remote or speculative one; (ii) the communication must have some functional connection to that contemplated litigation, e.g., preservation of evidence, a litigation-hold directive, a formal demand, or a tolling communication; and (iii) the communicating party must itself be a contemplated party to that litigation or its authorized representative. Plaintiff affirmatively alleges, as of February 25, 2021, that **none** of the three Action Apartment factors was present in CSAA’s favor: **(a)** no litigation was pending, filed, threatened in writing, or seriously contemplated by CSAA in good faith at the time of the denial letter; **(b)** no

counsel had been retained by CSAA or by Plaintiff in connection with the claim, no attorney had appeared on behalf of either party, and Plaintiff was an unrepresented direct third-party claimant; (c) no pre-suit demand letter had been exchanged, no tolling agreement had been proposed or executed, no litigation-hold or document-preservation letter had been sent, and no litigation reserve had been set by CSAA for the claim as a litigation matter (as opposed to a routine claims reserve). Because each Action Apartment factor fails, Civil Code § 47(b) does not attach to the February 25, 2021 denial.

## **RIBAS DISTINCTION, FRAUD, NOT IIED**

17. To the extent Defendant cites *Ribas v. Clark* (1985) 38 Cal.3d 355 for a bar on emotional distress claims against insurers, Plaintiff notes that *Ribas* addresses intentional infliction of emotional distress (IIED) claims, not fraud or negligent-misrepresentation claims.

18. Plaintiff does not assert a standalone IIED cause of action. Emotional distress damages are sought only as parasitic damages accompanying the fraud and negligent-misrepresentation torts.

19. *Ribas* does not bar fraud or negligent-misrepresentation claims where, as here, the gravamen is the misrepresentation of investigative completeness, not outrageous conduct intended to cause emotional distress.

## **NON-COMMUNICATIVE CONDUCT, FAILURE TO INVESTIGATE**

20. Defendant's failure to obtain and review foundational incident records constitutes non-communicative conduct that is not protected by Civil Code § 47(b):

(a) **911 Audio:** Defendant failed to obtain the 911 call recording containing the driver's own acknowledgment;

(b) **Body-Worn Camera Footage:** Defendant failed to obtain police BWC footage containing independent eyewitness corroboration;

(c) **CAD Records:** Defendant failed to obtain Computer-Aided Dispatch records documenting the emergency response.

21. This failure to investigate is non-communicative because it consists of omissions and failures to act, not statements or publications. *Rusheen v. Cohen* (2006) 37 Cal.4th 1048 (privilege

1 does not apply to non-communicative conduct).

2 21A. **Flatley Illegality Carve-Out to Anti-SLAPP.** Independently of the Action Apartment pre-  
3 litigation analysis above, Defendants are precluded from using the anti-SLAPP statute (Code of  
4 Civil Procedure § 425.16) to strike this action. *Flatley v. Mauro* (2006) 39 Cal.4th 299, 317–321,  
5 holds that where conduct is illegal as a matter of law, it is categorically outside the protection of  
6 the anti-SLAPP statute. Under *Shafer v. Berger, Kahn, Shafton, Moss, Figler, Simon & Gladstone*  
7 (2003) 107 Cal.App.4th 54, 79–80, reckless disregard for the truth satisfies the “deceit or collu-  
8 sion” element of Business and Professions Code section 6128(a), a misdemeanor. To the extent the  
9 February 25, 2021 denial letter constituted a knowing or recklessly-indifferent misrepresentation  
10 of a material fact, it constitutes a violation of section 6128(a). Under the analytical framework of  
11 *Flatley*, this illegal conduct is categorically outside the scope of § 425.16. This carve-out is inde-  
12 pendently sufficient to defeat any anti-SLAPP defense regardless of whether the Action Apartment  
13 pre-litigation factors in ¶ 16A are also resolved in Plaintiff’s favor to defeat the Civil Code § 47(b)  
14 litigation privilege.

15 21B. **Step-2 minimal-merit backstop and City of Montebello narrowness, pre-rebutted.** Even if  
16 step 1 of the anti-SLAPP analysis is reached on the merits, Plaintiff independently establishes min-  
17 imal merit at step 2 by reference to the reckless-disregard pleading at Section 0. *Flatley v. Mauro*  
18 (2006) 39 Cal.4th 299, 320, requires that the illegality be “conclusively established” by uncontro-  
19 verted evidence or by the defendant’s concession; *City of Montebello v. Vasquez* (2016) 1 Cal.5th  
20 409, 423–424, applies that requirement narrowly. Plaintiff meets the *City of Montebello* narrow-  
21 ness on the face of this pleading by means of the Position A vs. Position B structural-impossibility  
22 frame at ¶ 51A below: CSAA’s February 25, 2021 written representation that its investigation was  
23 “concluded” and panel counsel’s 2025 tribunal-directed representations in CGC-21-594102 that  
24 CSAA had “no idea where” the same materials “came from” cannot both be honestly believed by  
25 a single principal. Because both poles are statements of CSAA itself under Civil Code § 2330,  
26 Evidence Code § 1222, the structural impossibility of honest belief in either pole “conclusively  
27 establishes” reckless misrepresentation within the meaning of *Flatley*, 39 Cal.4th at 320, with-  
28 out resort to credibility findings or weighing of competing evidence. Step 2 is therefore satisfied



1 as a matter of pleading, by reference to the reckless-disregard scienter floor at Section 0 and the  
2 agency-imputation block at ¶ 51A.

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### 3 4 **SECTION III: ATTORNEY’S FEES CURE**

#### 5 **DELETION OF PRO-PER FEE DEMANDS**

6 22. Plaintiff, proceeding in pro per, does not seek attorney’s fees for self-representation in this  
7 action. *Trope v. Katz* (1995) 11 Cal.4th 274.

#### 8 **PRENTICE FEES AS DAMAGES ELEMENT**

9 23. Under *Prentice v. North American Title Guaranty Corp.* (1963) 59 Cal.2d 618, 620, a plain-  
10 tiff who has been induced by fraud (including reckless misrepresentation under *Engalla*, 15  
11 Cal.4th at 974) to enter into litigation may recover, as an element of tort damages, the attor-  
12 ney’s fees and litigation expenses incurred in that litigation.

13 24. Plaintiff alleges that:

14 **(Element 1, Fraud or Reckless Misrepresentation):** Defendant committed fraud, reckless mis-  
15 representation, or, in the alternative, negligent misrepresentation in denying Plaintiff’s claim and  
16 misrepresenting the basis for the denial;

17 **(Element 2, Induced Litigation):** As a proximate result of Defendant’s misrepresentation, Plain-  
18 tiff was induced to incur attorney’s fees in litigating CGC-21-594102; and

19 **(Element 3, Recoverable Fees):** The attorney’s fees incurred in CGC-21-594102 are recoverable  
20 as an element of tort damages, not as a fee award.

21 **24A. Prentice Line-Item Enumeration and Induced-Litigation Element.** For purposes of the  
22 *Prentice* three-element test pleaded in ¶ 24, Plaintiff alleges that but for CSAA’s February 25, 2021  
23 misrepresentation of investigative completeness, which falsely conveyed to Plaintiff, an unrepre-  
24 sented direct third-party claimant, that liability had been investigated and rejected on a “concluded  
25 investigation”, Plaintiff either would not have filed CGC-21-594102 at all, or would have filed  
26 it on materially different terms. That induced-litigation element is pleaded as a specific causal  
27 link between the misrepresentation (whether intentional, reckless, or negligent) and the separate

tort-measure damages recoverable under *Prentice v. North American Title Guaranty Corp.* (1963) 59 Cal.2d 618, 620–21. Plaintiff seeks *Prentice* damages in at least the following four line-item categories, each pleaded as tort damages and not as a prevailing-party fee award:

**(Line-Item 1, Professional Fees and Costs Incurred in CGC-21-594102):** All attorney’s fees, co-counsel fees, consulting-counsel fees, and paraprofessional fees actually incurred in the underlying action; and all expert-witness fees, deposition fees, court-reporter fees, transcript costs, filing fees, motion-fees, subpoena and process-service fees, mediation fees, and related out-of-pocket litigation expenses actually incurred in that action.

**(Line-Item 2, The \$75,000 Cost Judgment as Induced-Litigation Damages):** To the extent the trial court in CGC-21-594102 has entered, or may enter, a cost award or cost judgment against Plaintiff in favor of the underlying defendant (CSAA’s insured) in an approximate amount of \$75,000, that cost judgment is itself a *Prentice* damages element: it is a sum of money Plaintiff has been compelled to bear by reason of having been fraudulently or recklessly induced to file and prosecute CGC-21-594102 in response to CSAA’s February 25, 2021 misrepresentation. Plaintiff pleads the \$75,000 cost judgment (or such final amount as is entered) as tort damages recoverable against CSAA under *Prentice*, not as a re-litigation of the cost-judgment itself in CGC-21-594102.

**(Line-Item 3, Transcript, Record, and Appellate Preparation Costs):** Costs of preparing, ordering, and certifying trial transcripts (including the October 29, 2024 Day-7 transcript), pretrial transcripts, clerk’s transcripts, register-of-actions copies, and other record-on-appeal materials to the extent incurred in connection with the underlying action.

**(Line-Item 4, Investigative and Records-Acquisition Costs):** Costs of obtaining the very 911 audio, CAD records, BWC footage, and related first-responder records that CSAA itself failed to obtain before the February 25, 2021 denial, each of which Plaintiff has had to procure (or is in the process of procuring) through public-records requests, subpoenas, or other third-party channels in order to litigate the fraud and reckless-misrepresentation claims that would not have existed had CSAA performed the investigation it represented.

Line-Items 1–4 are pleaded as damages elements, not as a fee shift, and are not duplicative of any cost award under CCP § 1032 in this action.

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## SECTION IV: PUNITIVE DAMAGES SPECIFICITY (RECKLESS-DISREGARD ANCHORED)

### PARTICULARS BLOCK: WHO, WHAT, WHEN, WHERE, HOW, BY WHAT MEANS

25. Plaintiff seeks punitive damages under Civil Code § 3294. In compliance with the particularity requirements of *Lazar v. Superior Court* (1996) 12 Cal.4th 631, Plaintiff alleges the following specifics:

(a) **WHO:** The February 25, 2021 denial letter was signed by **Sarah Rash, Claims Representative**, employed by CSAA Insurance Exchange. Sarah Rash acted within the scope of employment and under the direction and supervision of CSAA management.

(b) **WHAT:** The denial letter falsely represented that CSAA had “concluded our investigation” and had “carefully review[ed] the facts” when CSAA had not conducted the investigation required by Title 10 CCR § 2695.7(b). The foundational incident records, 911 audio, BWC footage, CAD logs, supplemental SFPD report, had not been obtained or reviewed. The representation was made with knowing falsity, or, in the alternative, with reckless disregard for the truth, within the meaning of *Engalla*, 15 Cal.4th at 974 (see also *Gagne*, 43 Cal.2d at 487–488).

(c) **WHEN:** The denial letter was dated **February 25, 2021**, just 21 days after the collision. The fraudulent or reckless claims-handling process began on or about February 4, 2021 and continued through the date of the denial.

(d) **WHERE:** The claims handling occurred at CSAA’s claims office. Communications were directed to Plaintiff at Plaintiff’s residence in San Francisco, California.

(e) **HOW:** CSAA’s claims representative prepared and sent the denial letter without conducting the investigation required by Title 10 CCR. The representative knew or, in reckless disregard, should have known that the denial was not supported by a completed investigation.

(f) **BY WHAT MEANS:** The denial was communicated by written letter sent via U.S. Mail to Plaintiff.

1     **25A. Pleading-Stage Standard vs. Trial-Stage Evidentiary Standard, G.D. Searle Bright Line.**

2     The defense is anticipated to cite *In re Angelia P.* (1981) 28 Cal.3d 908 for the proposition that  
3     “clear and convincing” evidence is required at the pleading stage. Plaintiff affirmatively pleads  
4     that *Angelia P.* describes a **trial-stage** burden of proof on punitive damages and does not purport  
5     to govern the **pleading** sufficiency of a § 3294 allegation. Under *G.D. Searle & Co. v. Superior*  
6     *Court* (1975) 49 Cal.App.3d 22, 29, “the inquiry on [demurrer or strike] is simply whether the  
7     complaint alleges facts which, if proven by clear and convincing evidence at trial, would support a  
8     claim for punitive damages.” The pleading stage therefore requires only that the complaint plead  
9     facts, with *Lazar v. Superior Court* (1996) 12 Cal.4th 631 particularity, which, if proven by clear  
10    and convincing evidence at trial, would authorize a jury to find malice, oppression, or fraud under  
11    Civil Code § 3294(c). The particularized block at ¶¶ 25(a)–(f), the managing-agent / ratification  
12    block at ¶¶ 26–27, the deny-delay-defend pattern at ¶ 28, the confession/victim/eyewitness triple  
13    at ¶¶ 29–30, and the reckless-disregard scienter floor at Section 0 together satisfy the *G.D. Searle*  
14    pleading test.

15    **MANAGING-AGENT / RATIFICATION PARAGRAPH UNDER § 3294(B)**

16    26. Civil Code § 3294(b) requires that, to recover punitive damages against a corporate defendant,  
17        plaintiff must prove that an officer, director, or managing agent of the corporation committed,  
18        authorized, or ratified the wrongful conduct.

19    27. Plaintiff alleges on information and belief that:

- 20    (a) Sarah Rash was acting under the direct supervision of a managing agent of CSAA Insurance  
21        Exchange;  
22    (b) The denial was reviewed and approved by a supervisor or manager with authority over claims  
23        decisions;  
24    (c) CSAA’s claim-denial-approval policy, which resulted in the inadequate investigation and  
25        wrongful denial, was established or ratified by officers, directors, or managing agents; and  
26    (d) After learning of the wrongful denial (through this litigation or otherwise), CSAA’s managing  
27        agents ratified the conduct by failing to correct the denial. Continued ratification after notice  
28        is itself reckless disregard within the meaning of Section 0.

27A. **Named-Supervisor Block (Information and Belief).** On information and belief, the supervising principal, partner, or managing agent of CSAA Insurance Exchange whose conduct satisfies the Civil Code § 3294(b) corporate-malice predicate is the supervisor or manager who, on or about February 25, 2021, exercised review-and-approval authority over the denial of Claim No. 1004-09-1054 under Policy No. CAAS100310857. On further information and belief, the same managing agent, or his or her successor in claims-handling-supervisory authority at CSAA, also exercised review-and-approval authority over (i) CSAA’s selection, retention, and direction of panel counsel for the defense of CGC-21-594102, (ii) CSAA’s posture toward the January 17, 2025 MIL Nos. 6 and 17 filings and the February 18, 2025 hearing position taken in CGC-21-594102, and (iii) CSAA’s post-April 16, 2025 failure to repudiate or correct the “concluded investigation” representation after the on-record admission that the materials had been “provided by Dolan.” The true name and capacity of that managing agent are presently unknown to Plaintiff and are alleged on information and belief; Plaintiff will conform this pleading to proof when discovery reveals the identity of the managing agent. The pattern of review-and-approval, ratification, and post-notice failure-to-repudiate, taken together with the institutional “deny-delay-defend” pattern alleged at ¶¶ 28–30 above, establishes Civil Code § 3294(b) corporate-malice as a matter of pleading sufficiency under *G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29.

## **“DENY-DELAY-DEFEND” INSTITUTIONAL PATTERN**

28. Plaintiff alleges that CSAA’s failure to investigate was not inadvertent or a product of ordinary claims-handling error. CSAA institutionalized a “deny-delay-defend” practice that systematically omits foundational investigative steps, then conceals the omission through denial letters representing the investigation as concluded. The institutional character of the practice supplies pattern evidence of reckless disregard. *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721.

29. CSAA’s concealment is particularly egregious because the concealed evidence was not ambiguous or contested, and each source was identifiable, available, and obtainable by CSAA through ordinary claim-handling channels within days of the February 4, 2021 collision:

(a) The **911 audio recording**, associated with SFPD Incident Report No. 210083458 (conformed

1 to proof) and the corresponding San Francisco Department of Emergency Management CAD  
2 event on February 4, 2021, contained CSAA's insured's own acknowledgment of contact with  
3 Plaintiff;

4 (b) The **Body-Worn Camera (BWC) footage** from the responding SFPD officers (names and  
5 star numbers in SFPD's custody, available through a Penal Code § 832.7(b) public-records  
6 request and/or subpoena) contained an independent eyewitness, **Justin Rosemond**, stating  
7 on-camera that the driver struck Plaintiff; and

8 (c) Plaintiff's own **contemporaneous 911 report**, made on February 4, 2021 from the collision  
9 scene and reflected in both the SFPD CAD record and the SFPD Incident Report, stated that  
10 the driver hit him.

11 Each of the three sources (a)–(c) was identifiable to CSAA from the face of the SFPD Incident  
12 Report, each was available to CSAA by routine public-records request or subpoena within days of  
13 the collision, and each was available before the February 25, 2021 denial.

14 30. CSAA denied a claim supported by **confession, victim report, and eyewitness corroboration**.  
15 This conduct constitutes “malice” and “despicable conduct” within the meaning of  
16 Civil Code § 3294, and constitutes reckless disregard for the truth within the meaning of *En-*  
17 *galla*, 15 Cal.4th at 974, *Egan*, 24 Cal.3d at 818–819, and *Wilson*, 42 Cal.4th at 720–721 (see  
18 also *American Airlines, Inc. v. Sheppard, Mullin, Richter & Hampton* (2018) 28 Cal.App.5th  
19 1077; *Mock*, 4 Cal.App.4th at 328).

20 30A. **Reckless-Disregard / Willful-Blindness Paragraph (Civil Code § 3294 Hook)**. California  
21 recognizes that an insurer's deliberate avoidance of evidence likely to defeat a denial constitutes  
22 the equivalent of actual knowledge for purposes of bad-faith and punitive-damages doctrines. *Egan*  
23 *v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819, and *Wilson v. 21st Century Ins.*  
24 *Co.* (2007) 42 Cal.4th 713, 720–721 (both Cal. Sup. Ct.), establish the affirmative-investigation  
25 duty whose breach by deliberate avoidance is malice under Civil Code § 3294 (see also *Mock*  
26 *v. Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328 (deliberate-avoidance pat-  
27 tern as malice)). CSAA's affirmative act of closing the claim file on or about February 25, 2021,  
28 while the Silent Witnesses were reasonably available and identifiable from the face of the SFPD

1 Incident Report, constitutes willful blindness rather than honest mistake. The closing-the-file act  
2 supplies (i) volition (a discrete decision was made), (ii) awareness (the police report referenced  
3 BWC and 911), (iii) cost-benefit motive (closing avoids the indemnity payment that the Silent  
4 Witnesses would compel), and (iv) pattern evidence consistent with the institutional “deny-delay-  
5 defend” practice alleged at ¶¶ 28–30 above. CSAA’s conduct therefore satisfies each prong of Civil  
6 Code § 3294(c)(1) (malice, willful and conscious disregard), § 3294(c)(2) (oppression, despicable  
7 conduct in conscious disregard of the rights of others), and § 3294(c)(3) (fraud, intentional misrep-  
8 resentation, deceit, or concealment), through the reckless-disregard / willful-blindness equivalence  
9 recognized by *Gagne*, *Engalla*, and *Mock*.

10 **30B. Regulatory Spine, Convergence of Multiple Bad-Faith Standards as Probative of Reck-**  
11 **less Disregard.** The conduct alleged in this action violates each of the following independently  
12 enforceable California standards, the simultaneous convergence of which is itself probative of  
13 reckless disregard within the meaning of Section 0:

- 14 (a) **10 CCR § 2695.7(b)**, accept-or-deny determination must follow receipt of information suffi-  
15 cient to make the determination;
- 16 (b) **10 CCR § 2695.7(d)**, claims decision must be based on “all information reasonably avail-  
17 able”;
- 18 (c) **10 CCR § 2695.7(g)**, no representation that a claim will be denied without “conducting and  
19 fully documenting a thorough, fair, and objective investigation”;
- 20 (d) **10 CCR § 2695.5(b)**, duty to respond to communications from claimant within fifteen days;
- 21 (e) **Insurance Code § 790.03(h)(1)**, no misrepresentation of pertinent facts to claimants;
- 22 (f) **Insurance Code § 790.03(h)(3)**, duty to adopt and implement reasonable standards for prompt  
23 investigation;
- 24 (g) **Insurance Code § 790.03(h)(5)**, duty to attempt in good faith to effectuate prompt, fair, and  
25 equitable settlements where liability is reasonably clear;
- 26 (h) **Common-law affirmative duty to investigate**, *Egan v. Mutual of Omaha Ins. Co.* (1979) 24  
27 Cal.3d 809, 818–819, and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721  
28 (both Cal. Sup. Ct.) (see also *Frommoethelydo v. Fire Ins. Exchange* (1986) 42 Cal.3d 208,

219–220);

- (i) **Common-law neutral-truth-seeking duty**, *Egan*, 24 Cal.3d at 819 (Cal. Sup. Ct.) (see also *Mariscal v. Old Republic Life Ins. Co.* (1996) 42 Cal.App.4th 1617, 1623);
- (j) **Common-law claim-file completeness duty**, *Wilson*, 42 Cal.4th at 720–721, *Hamilton v. Maryland Cas. Co.* (2002) 27 Cal.4th 718, 727 (Cal. Sup. Ct.) (see also *Maslo v. Ameriprise Auto & Home Ins.* (2014) 227 Cal.App.4th 626, 634–635);
- (k) **Common-law objective-baseline rule**, *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (Cal. Sup. Ct.: insurer’s investigation measured against an objective reasonable-insurer baseline, not against the insurer’s subjective belief).

A simultaneous failure across all eleven independent standards is not consistent with negligence or honest mistake; it is consistent with the institutional “deny-delay-defend” practice alleged at ¶¶ 28–30 above and with the reckless-disregard scienter floor pleaded at Section 0.

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## SECTION V: DAMAGES

### (A) RELIANCE DAMAGES, CIVIL CODE § 1709

31. Plaintiff seeks reliance damages under Civil Code § 1709 for Defendant’s fraud or, in the alternative, reckless or negligent misrepresentation. Specifically, Plaintiff incurred the following expenses in reasonable reliance on Defendant’s misrepresentation of investigative completeness:

- (i) Costs of investigating and challenging the denial;
- (ii) Filing fees and court costs in CGC-21-594102;
- (iii) Expert witness fees; and
- (iv) Other out-of-pocket expenses incurred in reasonable reliance on Defendant’s representations.

### (B) PRENTICE FEES

32. Plaintiff seeks attorney’s fees as tort damages under *Prentice v. North American Title Guaranty Corp.* (1963) 59 Cal.2d 618, as set forth in Section III above.



1 **(C) LOST EARNINGS, FRAUD-DELTA ONLY**

2 33. Plaintiff seeks lost earnings damages, but only to the extent such losses were directly caused  
3 by Defendant's fraud or reckless misrepresentation ("fraud-delta"). This claim is limited to  
4 the differential between what Plaintiff earned and what Plaintiff would have earned but for  
5 Defendant's fraudulent or reckless concealment of the non-investigation.

6 **(D) PHYSICAL EXACERBATION**

7 34. Plaintiff alleges that Defendant's fraud or reckless misrepresentation exacerbated Plaintiff's  
8 pre-existing physical condition:

- 9 (a) **Foreseeability:** It was foreseeable that wrongful denial of a claim would cause increased  
10 stress and physical symptoms;  
11 (b) **Eggshell Plaintiff:** Defendant takes Plaintiff as Defendant finds him;  
12 (c) **Objectively Billed:** Plaintiff seeks only medical expenses actually billed and causally linked  
13 to the exacerbation.

14 **(E) EMOTIONAL DISTRESS, PARASITIC TO FRAUD ONLY**

15 35. Plaintiff seeks emotional distress damages, but only as parasitic damages accompanying the  
16 fraud and negligent-misrepresentation torts. Plaintiff does not assert a standalone claim for  
17 intentional infliction of emotional distress.

18 **(F) SPECIAL DAMAGES**

19 36. Plaintiff seeks special damages for fraud-caused out-of-pocket expenses, including:

- 20 (a) Transcript, court-reporter, and certified-copy costs;  
21 (b) Subpoena, process-service, and certification fees for obtaining 911, BWC, and CAD materi-  
22 als;  
23 (c) Document-preparation, authentication, and verification costs;  
24 (d) Professional and logistical costs of reconstructing the claim history.

25 **(G) FUTURE DAMAGES, CACI 3903A FOUNDATION**

26 37. To the extent Plaintiff seeks future damages, Plaintiff alleges a foundation under CACI 3903A:  
27 Plaintiff's injuries are ongoing; it is reasonably certain that Plaintiff will incur future medi-

cal expenses and/or lost earnings; and the amount of future damages can be estimated with reasonable certainty.

### **(H) UCL INJUNCTION, SPECIFIC MISREPRESENTATION PATTERN**

38. Plaintiff seeks injunctive relief under Business and Professions Code § 17203 to:

- (a) Enjoin Defendant from **issuing denial letters stating an investigation is “concluded”** when foundational incident records have not been obtained or reviewed;
- (b) Require Defendant to comply with Title 10 CCR §§ 2695.4 and 2695.7 by conducting thorough investigations before denying claims; and
- (c) Require Defendant to maintain adequate documentation of claim investigations.

### **(I) COSTS**

39. Plaintiff seeks costs of suit under Code of Civil Procedure §§ 1032 and 1033.5 for costs incurred in this action (CGC-25-631802 only).

### **(J) PREJUDGMENT INTEREST**

40. Plaintiff seeks prejudgment interest under Civil Code §§ 3287(a) and 3288.

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## **SECTION VI: PRIMARY RIGHTS / RESERVATION**

### **DISTINCT PRIMARY RIGHT**

41. The primary right asserted here is the right to be free from deliberate or recklessly indifferent misrepresentation by a commercial actor regarding the completeness of an investigative process that directly determined Plaintiff’s economic options as a claimant. The invasion of that right occurred in February 2021 when CSAA caused Plaintiff to believe an investigation had concluded when it had not, thereby destroying Plaintiff’s ability to independently evaluate the true state of the claim and make informed decisions about preservation, evidence-gathering, counsel retention, and negotiation strategy.

41A. **Lucido Five-Factor Walk-Through, Primary-Rights and Collateral-Estoppel Preemption.** To preempt any anticipated defense argument that CGC-21-594102 (the underlying personal-injury negligence action against CSAA’s insured) collaterally estops or otherwise precludes this

1 action, Plaintiff pleads the five-factor issue-preclusion test of *Lucido v. Superior Court* (1990)  
2 51 Cal.3d 335, 341 against the CGC-21-594102 record: **(i) Identical Issue:** The issue decided  
3 in CGC-21-594102 was whether Subhi Abdelhalim breached a Vehicle Code duty of care toward  
4 Plaintiff in the February 4, 2021 collision. The issue in this action is whether CSAA Insurance Ex-  
5 change committed common-law fraud, reckless misrepresentation, or negligent misrepresentation,  
6 and engaged in unfair business practices, in its February 25, 2021 claim-handling representation  
7 that its investigation had “concluded.” These are not identical issues. **(ii) Actually Litigated:**  
8 Whether CSAA’s 2021 claim-handling constituted fraud, reckless misrepresentation, or negligent  
9 misrepresentation was not litigated in CGC-21-594102; CSAA was not a party to that action and  
10 no such claim was tendered to the jury. **(iii) Necessarily Decided:** The CGC-21-594102 9–3 neg-  
11 ligence verdict did not necessarily decide, and could not have necessarily decided, any issue of  
12 CSAA’s claim-handling conduct, because that issue was not before the trier of fact. **(iv) Final**  
13 **Judgment:** The CGC-21-594102 judgment is presently on appeal (A173827), and a judgment on  
14 appeal is not final for preclusion purposes. **(v) Same Party or Privy:** CSAA was not a named party  
15 in CGC-21-594102 and its privity with the insured, if any, runs only to the insured’s negligence  
16 liability, not to CSAA’s independent claim-handling conduct toward a direct third-party claimant.  
17 Under the primary-rights doctrine of *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 904,  
18 and *Crowley v. Katleman* (1994) 8 Cal.4th 666, 681–82, this action and CGC-21-594102 arise  
19 from different primary rights and therefore do not share a single “cause of action” for preclusion  
20 purposes.

21 42. This primary right is distinct from:

- 22 (a) The personal-injury primary right litigated in CGC-21-594102;
- 23 (b) The extrinsic-fraud primary right asserted in CGC-25-631801; and
- 24 (c) Any right to policy benefits (not asserted here).

## 25 **EXPRESS DISCLAIMER OF PI DAMAGES**

26 43. Plaintiff expressly disclaims and does not seek in this action any personal-injury damages that  
27 were or could have been awarded in CGC-21-594102.

## **2021-FORWARD DAMAGES ANCHOR**

44. All damages sought in this action arise from Defendant's conduct on or after February 25, 2021 (the date of the denial letter). Plaintiff does not seek damages for any conduct predating the February 25, 2021 denial.

### **44A. Express Double-Recovery Reservation Between CGC-25-631802 and CGC-25-631801.**

Plaintiff is simultaneously prosecuting CGC-25-631801, an independent action in equity for extrinsic fraud (vacatur of the CGC-21-594102 judgment procured by fraud on the court). The two actions share a single underlying reckless-disregard-for-the-truth spine (the Silent Witnesses + the Position A vs. Position B contradiction), but the legal theories and remedies are non-duplicative: this action seeks legal-damages relief against CSAA for its 2021 claim-handling conduct, while CGC-25-631801 seeks equitable relief and statutory attorney-deceit damages against CSAA and defense counsel for concealment of evidence during the 2024–2025 trial of CGC-21-594102. To prevent any double recovery and to foreclose any election-of-remedies argument, Plaintiff expressly: (a) disclaims, in this action, any damages measure that would also be recovered as equitable or restitutionary relief under CGC-25-631801 (including any restitution-of-the-\$75,000-cost-judgment that would duplicate equitable vacatur relief in CGC-25-631801); (b) reserves the right, pre-judgment, to elect remedies between the two actions upon any ruling that places them in tension; and (c) affirms that the *Prentice* line-items in ¶ 24A are sought here only to the extent they are not awarded through equitable vacatur in CGC-25-631801.

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## **SECTION VII: TITLE 10 INVESTIGATION STANDARD**

### **WHAT THOROUGH INVESTIGATION REQUIRES**

45. Under Title 10 CCR § 2695.7(b), a thorough investigation of an insurance claim requires, at minimum:

- (a) Reviewing all information submitted by the claimant;
- (b) Obtaining and reviewing relevant third-party evidence, including police reports, medical records, and witness statements;

- 1 (c) Obtaining available public records, including 911 recordings, CAD records, and body-worn  
2 camera footage where relevant;  
3 (d) Documenting the investigation in the claim file; and  
4 (e) Basing any denial on a reasonable evaluation of all available evidence.

## 5 **WHAT CSAA DID NOT DO**

6 46. Defendant failed to conduct a thorough investigation as required by Title 10 CCR. Specifi-  
7 cally:

- 8 (a) Defendant did not obtain or review the 911 recordings from the date of the collision;  
9 (b) Defendant did not obtain or review body-worn camera footage from responding officers;  
10 (c) Defendant did not obtain or review CAD records documenting the emergency response;  
11 (d) Defendant did not interview witnesses whose contact information was available;  
12 (e) Defendant did not adequately document the basis for its denial in the claim file; and  
13 (f) Defendant issued a denial based on an incomplete and one-sided review of the evidence.

## 14 **CLARIFICATION: NOT A PRIVATE INS. CODE § 790.03 CLAIM**

15 47. This section supports the UCL “unlawful” prong, the standard-of-care floor for negligent mis-  
16 representation under Civil Code § 1710(2), and the reckless-disregard scienter floor at Section  
17 0. It is **not** pleaded as a private Insurance Code § 790.03 cause of action. *Moradi-Shalal v.*  
18 *Fireman’s Fund Insurance Companies* (1988) 46 Cal.3d 287. The § 790.03 violations are  
19 predicate conduct for UCL purposes only, and standard-of-care evidence for the negligence-  
20 tier and reckless-tier claims. *State Farm Fire & Casualty Co. v. Superior Court* (1996) 45  
21 Cal.App.4th 1093, 1103–04.

22 **47A. Insurance Code § 790.03(h)(5), Liability-Reasonably-Clear Standard as UCL Unlaw-**  
23 **ful Predicate and Reckless-Disregard Indicium.** In addition to the Title 10 CCR § 2695.4  
24 and § 2695.7 predicates pleaded at ¶¶ 45–46, Plaintiff alleges that CSAA’s February 25, 2021  
25 denial violated Insurance Code § 790.03(h)(5). Liability was reasonably clear to CSAA on or  
26 before February 25, 2021 because each of the three foundational first-responder sources (911 au-  
27 dio / CAD, SFPD BWC footage with on-camera independent-eyewitness corroboration from Justin  
28 Rosemond, and Plaintiff’s contemporaneous 911 report) was identifiable from the face of the SFPD

1 Incident Report and available to CSAA by routine public-records request or subpoena. Pleading §  
2 790.03(h)(5) here is not an assertion of a private right of action under § 790.03, which remains pre-  
3 cluded by *Moradi-Shalal*, but is pleaded **solely as a UCL unlawful predicate** consistent with the  
4 *Moradi-Shalal* carve-out recognized in *State Farm Fire & Casualty Co. v. Superior Court* (1996)  
5 45 Cal.App.4th 1093, 1103–04, and as additional probative evidence of reckless disregard within  
6 the meaning of Section 0.

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## 7 **SECTION VIII: DELAYED DISCOVERY**

### 8 **THREE-ANCHOR DISCOVERY ACCRUAL**

9  
10 48. Plaintiff did not discover the facts constituting the fraud, reckless misrepresentation, or negli-  
11 gent misrepresentation at the time of the February 25, 2021 denial, as the denial letter actively  
12 concealed the non-investigation.

13 49. The discovery accrual is anchored to three consecutive record events:

14 (a) **January 17, 2025:** Defense MIL No. 17 filings asserted the 911 and related materials had  
15 not been produced in discovery and were of “unknown provenance”, revealing that CSAA’s  
16 2021 representation of investigative completeness was false;

17 (b) **February 18, 2025:** Pretrial hearing testimony by Jeremy Jessup stated those materials had  
18 been produced to defense counsel in August–September 2022, while defense counsel simul-  
19 taneously stated the 911 call was “news to me,” creating a direct internal contradiction; and

20 (c) **April 16, 2025:** Trial admission by defense counsel that the materials “were provided by  
21 Dolan,” confirming the materials had been in defense possession all along.

22 50. These three events, taken together, constitute the first point at which Plaintiff could reasonably  
23 have determined that CSAA’s 2021 representation of investigative completeness was false,  
24 and the first point at which Plaintiff could reasonably have determined that CSAA had acted  
25 with reckless disregard for the truth.

26 51. Plaintiff filed this action within the applicable statute of limitations following these discovery  
27 events.

28 51.1. **Continuing-Accrual Backstop Under *Aryeh*.** Independently of the discovery-rule accrual

1 at ¶¶ 48–50 above, Plaintiff pleads continuing accrual as a backstop limitations theory under *Aryeh*  
2 *v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1192–1199 (Cal. Sup. Ct.). Under  
3 *Aryeh*, where a defendant engages in a series of recurring wrongful acts, each new wrong starts its  
4 own limitations clock; the doctrine “operates at the policy level: where a single course of wrongful  
5 conduct is divisible into discrete wrongs giving rise to discrete claims, the statute of limitations runs  
6 separately on each.” 55 Cal.4th at 1199. CSAA’s institutional “deny-delay-defend” practice alleged  
7 at ¶¶ 28–30 above is a continuing course of conduct under which: (a) each post-February 25, 2021  
8 communication maintaining the “concluded investigation” position to Plaintiff (in particular the  
9 January 17, 2025 / February 18, 2025 / April 16, 2025 record events at ¶¶ 49(a)–(c)), (b) each post-  
10 notice failure to repudiate or correct that position (¶ 6A above), and (c) each successive UCL §  
11 17200 misrepresentation or omission to a member of the third-party-claimant public (¶¶ 65–67A)  
12 is a discrete wrong from which a new limitations clock runs. *Aryeh*, 55 Cal.4th at 1192–1199. The  
13 continuing-accrual rule is doctrinally separate from delayed discovery and operates regardless of  
14 whether Plaintiff was on inquiry notice as of any earlier date.

15 **51A. Position A vs. Position B as Reckless-Disregard Confirmation.** The factual contradiction  
16 between (a) CSAA’s February 25, 2021 written representation that its investigation of the February  
17 4, 2021 collision was “concluded”, necessarily implying that CSAA had retrieved and reviewed  
18 the Silent Witnesses, and (b) CSAA’s representations through its retained panel counsel in CGC-  
19 21-594102 that CSAA had “no idea where” the same Silent Witnesses “came from” and that the  
20 materials were “not produced in discovery” (MIL Nos. 6 and 17, Jan. 17, 2025; Feb. 18, 2025  
21 hearing tr. p. 141, ll. 4–11; April 16, 2025 trial admission), establishes that one of those two  
22 statements is necessarily false. Both representations are statements of CSAA itself: Position A was  
23 made directly by CSAA, and Position B was made by CSAA’s authorized litigation agents acting  
24 in CSAA’s pecuniary interest under the policy. Civil Code §§ 2330 and 2338; Evidence Code §  
25 1222 (see also *American Mutual Liability Ins. Co. v. Superior Court* (1974) 38 Cal.App.3d 579,  
26 591–592; *Gulf Insurance Co. v. Berger, Kahn, Shafon, Moss, Figler, Simon & Gladstone* (2000) 79  
27 Cal.App.4th 114, 124; *Purdy v. Pacific Automobile Ins. Co.* (1984) 157 Cal.App.3d 59, 76 (panel-  
28 counsel-as-agent of carrier-principal for claims-handling and litigation-defense communications)).

1 The structural impossibility that CSAA both made and contradicted the same fact is the textbook  
2 reckless-disregard pattern under *Engalla*, 15 Cal.4th at 974: a speaker who has both made and  
3 contradicted the same fact cannot honestly believe either pole. The doctrine of judicial estoppel,  
4 *MW Erectors, Inc. v. Niederhauser Ornamental & Metal Works Co.* (2005) 36 Cal.4th 412, 422  
5 (Cal. Sup. Ct.) (see also *Jackson v. County of Los Angeles* (1997) 60 Cal.App.4th 171, 181;  
6 *Aguilar v. Lerner* (2004) 32 Cal.4th 974, 986–987), bars CSAA from contesting in this action  
7 that its February 25, 2021 representation was either knowingly false or recklessly indifferent to the  
8 truth.

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## 10 CAUSES OF ACTION

### 11 FIRST CAUSE OF ACTION: FRAUD, INTENTIONAL MISREPRESENTATION AND CONCEALMENT (KNOWING OR RECKLESS-DISREGARD 12 TIER) 13

14 (Civil Code §§ 1709, 1710(1), and 1710(3), Against CSAA Insurance Exchange and DOES 1  
15 through 50, inclusive)

16 52. Plaintiff incorporates by reference all preceding paragraphs.

17 52A. **Scienter recital (Engalla / CACI).** The scienter element of this cause of action is satisfied  
18 by knowing falsity (Civil Code section 1710(1)) and, in the alternative, by reckless disregard for  
19 the truth as defined by *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974  
20 (quoting *Yellow Creek*), and CACI Nos. 1903 and 1907 (see also *Gagne v. Bertran* (1954) 43  
21 Cal.2d 481, 487–488). The Section 0 reckless-disregard showing is incorporated into this cause of  
22 action by reference.

23 52B. **Wrongful-Conduct Scope, Express Anti-SLAPP Disavowal (Gravamen Anchor).** The  
24 wrongful conduct pleaded in this cause of action is **not** predicated on, and Plaintiff expressly dis-  
25 avows any theory of liability predicated on: (a) the filing or prosecution of CGC-21-594102 by  
26 CSAA's insured or by defense counsel; (b) any motion, in-limine application, pleading, or other  
27 court filing made in connection with CGC-21-594102; (c) statements or arguments made in open



1 court, in depositions, or in written discovery responses in CGC-21-594102; or (d) any other act or  
2 statement that would constitute “an act in furtherance of a person’s right of petition or free speech  
3 . . . in connection with a public issue” within the meaning of Code of Civil Procedure § 425.16(e).  
4 The wrongful conduct in this cause of action is CSAA’s pre-litigation, non-communicative 2021  
5 claim-handling conduct, the failure to investigate, the issuance of a denial letter misrepresenting  
6 investigative completeness, and the omission of foundational first-responder evidence, which oc-  
7 curred before any litigation was pending or contemplated. The “gravamen” inquiry that controls  
8 this disavowal is governed by *Park v. Board of Trustees of California State University* (2017)  
9 2 Cal.5th 1057, 1062–1064 (Cal. Sup. Ct.: anti-SLAPP analysis turns on the “elements of the  
10 challenged claim” and the “specific[]” wrongful “acts” that “supply [the] elements,” not on the  
11 broader litigation backdrop in which protected activity may incidentally have occurred). Under  
12 *Park*, a claim is not subject to § 425.16 merely because protected activity is part of the surround-  
13 ing factual context; the wrongful acts that supply the elements of Plaintiff’s fraud, concealment,  
14 negligent-misrepresentation, UCL, and declaratory-relief claims here are the pre-litigation 2021  
15 claim-handling acts identified at ¶¶ 1–9 and ¶¶ 28–30 above, none of which is protected activity.  
16 Under ¶ 16A and ¶ 20 above, this conduct is outside the scope of the Civil Code § 47(b) litiga-  
17 tion privilege, and under ¶ 21A above, it is categorically outside the protected-activity scope of §  
18 425.16.

19 53. The wrongful conduct pleaded in this cause of action is CSAA’s non-communicative failure  
20 to investigate the claim, its intentional or reckless omission of obtaining material evidence,  
21 and its active concealment of that failure (extrinsic fraud), not any later petitioning conduct,  
22 motion practice, or in-court advocacy.

23 54. CSAA had a duty to investigate the claim fairly, yet it failed to do so. It actively concealed  
24 this failure by providing Plaintiff with a denial letter containing the false representation that  
25 it had “carefully reviewed the facts.” That representation was made with knowing falsity,  
26 or, in the alternative, with reckless disregard for the truth, within the meaning of *Engalla v.*  
27 *Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974 (see also *Gagne v. Bertran*  
28 (1954) 43 Cal.2d 481, 487–488).

1 55. The denial letter serves as evidence of the omission and the extrinsic fraud, showing that  
2 CSAA intended Plaintiff to rely on the false completeness to suppress his claim.

3 56. Plaintiff justifiably relied on the concealment.

4 57. Plaintiff suffered damage as a proximate result.

5 57A. **Reckless-Disregard Pleading.** This Cause of Action is pleaded with the alternative scienter  
6 floor articulated in Section 0 above: knowing falsity, or, in the alternative, reckless disregard for  
7 the truth. The factual record at ¶¶ 0.2(a)–(e), 8–9, 28–30, 30A, 30B, and 51A establishes reckless  
8 disregard as a matter of pleading sufficiency under *G.D. Searle & Co. v. Superior Court* (1975) 49  
9 Cal.App.3d 22, 29, and *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645–646.

10 57B. **Wilson / genuine-dispute pre-emption.** The reckless-disregard pleading at Section 0 and  
11 paragraphs 0.2(a)–(e) forecloses the “genuine dispute” defense recognized in *Wilson v. 21st Cen-*  
12 *tury Ins. Co.* (2007) 42 Cal.4th 713, 723. Under *Wilson*, the genuine-dispute doctrine is unavail-  
13 able where the insurer fails to thoroughly and fairly investigate the claim. The reckless-disregard  
14 scienter floor established by the factual record — CSAA’s closing of the file without retrieving any  
15 Silent Witness, in the face of inquiry notice on the SFPD report — establishes that failure as a  
16 matter of pleading, not trial proof.

17 **SECOND CAUSE OF ACTION: FRAUD, CONCEALMENT / HALF-**  
18 **TRUTH (KNOWING OR RECKLESS-DISREGARD TIER)**

19 (Civil Code § 1710(3), Against CSAA Insurance Exchange and DOES 1 through 50, inclusive)

20 58. Plaintiff incorporates by reference all preceding paragraphs.

21 59. The wrongful conduct pleaded in this cause of action is the non-communicative institutional  
22 failure to investigate, which CSAA concealed via misleading half-truths in its ordinary busi-  
23 ness communications.

24 60. By issuing a denial “based on the facts currently available,” CSAA omitted the material fact  
25 that it had not yet obtained, reviewed, or responsibly accounted for foundational incident  
26 information, specifically, the 911 audio, BWC footage, CAD logs, and supplemental SFPD  
27 report (the Silent Witnesses).

28 60A. **Statutory Predicate, Civil Code § 1710(3).** Civil Code § 1710(3) defines deceit, in relevant

part, as “[t]he suppression of a fact, by one who is bound to disclose it, or who gives information of other facts which are likely to mislead for want of communication of that fact.” Plaintiff pleads this cause of action expressly under § 1710(3) on two independent theories: (i) **bound-to-disclose suppression**, predicated on CSAA’s regulatory and common-law duties to disclose described in ¶ 60B; and (ii) **likely-to-mislead half-truth**, predicated on CSAA’s voluntary statement that the investigation was “concluded,” which created a duty to complete the disclosure under *Randi W. v. Muroc Joint Unified School Dist.* (1997) 14 Cal.4th 1066, 1083; *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 346; and *Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 158.

**60B. Regulatory Duty to Disclose.** CSAA’s duty to disclose, for purposes of Civil Code § 1710(3), is supplied by California regulatory law, customary insurance-industry practice, and common-law principles of superior knowledge:

- (a) **10 CCR § 2695.7(g)** prohibits an insurer from “represent[ing] or imply[ing] that a claim will be denied without conducting and fully documenting a thorough, fair, and objective investigation.” This regulation, by its terms, imposes an affirmative obligation not to imply the existence of a thorough investigation that has not occurred.
- (b) **10 CCR § 2695.7(d)** requires the insurer’s claims decision to be based on “all information reasonably available.”
- (c) **Insurance Code § 790.03(h)(1)** prohibits the misrepresentation of “pertinent facts” to claimants.
- (d) **Superior knowledge.** *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 346; *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336–337; *Vai v. Bank of America* (1961) 56 Cal.2d 329, 342.

61. Plaintiff reasonably relied on the resulting half-truth and omission.

62. Plaintiff suffered damages as a proximate result.

**62A. Reckless-Disregard Pleading.** The intent element of § 1710(3) is satisfied either by (i) actual knowledge of the suppressed fact, or (ii) reckless disregard for whether the disclosure is complete. *Engalla*, 15 Cal.4th at 974; CACI 1901 (see also *Gagne*, 43 Cal.2d at 487–488). The factual record at ¶¶ 0.2(a)–(e), 8–9, 28–30, 30A, and 30B establishes the reckless-disregard alternative as a matter of pleading sufficiency.

1 **THIRD CAUSE OF ACTION: VIOLATION OF BUSINESS AND PRO-**  
2 **FESSIONS CODE § 17200 ET SEQ.**

3 (Against CSAA Insurance Exchange and DOES 1 through 50, inclusive)

4 63. Plaintiff incorporates by reference all preceding paragraphs.

5 64. Plaintiff pleads this cause of action in the alternative and as subordinate to the fraud and  
6 negligent-misrepresentation causes of action.

7 65. **(a) Unlawful prong:** CSAA's conduct is unlawful because it constitutes common-law fraud  
8 under Civil Code §§ 1709–1710(1)/(3), reckless misrepresentation within the meaning of  
9 *Engalla*, 15 Cal.4th at 974, and negligent misrepresentation under Civil Code § 1710(2) (see  
10 also *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408), each independently pleaded  
11 in the First, Second, and Fourth Causes of Action. The “unlawful” prong is also independently  
12 satisfied by the regulatory predicates at 10 CCR § 2695.7(b)/(d)/(g), 10 CCR § 2695.5(b), and  
13 Insurance Code § 790.03(h)(1)/(3)/(5), each pleaded solely as a UCL unlawful predicate and  
14 not as a private right of action.

15 66. **(b) Fraudulent prong:** CSAA's systematic misrepresentation of investigation completeness  
16 to unrepresented third-party claimants, made with knowing falsity or with reckless disregard  
17 for the truth, constitutes a business practice likely to deceive the public.

18 66A. **Reasonable-Consumer Test, UCL Fraudulent-Prong Standard.** *Cel-Tech Communica-*  
19 *tions, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 187 (Cal. Sup. Ct.: UCL  
20 “fraudulent” prong measured by likelihood that the public will be deceived) (see also *Williams v.*  
21 *Gerber Products Co.* (9th Cir. 2008) 552 F.3d 934, 938; *Chapman v. Skype, Inc.* (2013) 220  
22 Cal.App.4th 217, 226). A reasonable unrepresented third-party claimant in CSAA's claims-intake  
23 universe is likely to be deceived by a denial letter that represents the insurer's investigation as “con-  
24 cluded” after “careful review” when foundational first-responder records have not been obtained,  
25 because a reasonable claimant, lacking independent means to audit an insurer's internal claims file,  
26 will rely on the insurer's representation of investigative completeness as a basis for assessing his  
27 or her claim and its viability.

28 67. **(c) Unfair prong:** The “deny-delay-defend” scheme constitutes an unfair business practice

1 because it produces a commercial benefit to CSAA (suppression of valid claims, reduction of  
2 investigation costs, reserve protection) through means that cause harm to claimants dispro-  
3 portionate to any legitimate claims-management justification.

4 **67A. Cel-Tech Tethering for the “Unfair” Prong.** *Cel-Tech Communications, Inc. v. Los Angeles*  
5 *Cellular Telephone Co.* (1999) 20 Cal.4th 163, 187. The “deny-delay-defend” practice alleged at  
6 ¶¶ 28–30 is tethered to (i) the legislative policy declared in Insurance Code § 790.03(h)(1), (3), and  
7 (5); (ii) the regulatory policy declared in 10 CCR § 2695.7(b), (d), and (g); and (iii) the common-  
8 law policies announced in *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819,  
9 and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (both Cal. Sup. Ct.) (see  
10 also *Mariscal, Maslo, and Hamilton*, cited supra at ¶ 30B(i)–(j)). The “unfair” prong is therefore  
11 satisfied under the *Cel-Tech* tethering test (see also *Drum v. San Fernando Valley Bar Ass’n* (2010)  
12 182 Cal.App.4th 247, 257 (consumer-balancing variant)).

13 68. Plaintiff alleges he lost money or property as a result of that conduct.

14 **68A. Reckless-Disregard Pleading (Third Cause of Action).** This Cause of Action is pleaded  
15 with the alternative scienter floor articulated in Section 0 above. The factual record at §§ 0.1–0.5,  
16 ¶¶ 8–9, 28–30, 30A, 30B, 51A, and 51.1 establishes the reckless-disregard alternative as a matter  
17 of pleading sufficiency for the UCL “fraudulent” prong, which is satisfied by reckless misstatement  
18 under *Cel-Tech*, 20 Cal.4th at 187, and *Engalla*, 15 Cal.4th at 974, and for the UCL “unlawful”  
19 prong, which is independently satisfied by the regulatory predicates at ¶ 65 above.

20 69. Plaintiff seeks under this cause of action injunctive relief and, only to the extent legally avail-  
21 able, restitutionary relief.

## 22 **FOURTH CAUSE OF ACTION: NEGLIGENT MISREPRESENTATION** 23 **(NO-REASONABLE-GROUND TIER)**

24 (Civil Code § 1710(2), Against CSAA Insurance Exchange and DOES 1 through 50, inclusive)

25 70. Plaintiff incorporates by reference all preceding paragraphs.

26 71. Civil Code § 1710(2) defines deceit, in relevant part, as “[t]he assertion, as a fact, of that  
27 which is not true, by one who has no reasonable ground for believing it to be true.” Under  
28 California law a negligent-misrepresentation cause of action is established by proof of (a) a

1 representation of past or existing material fact, (b) the representation was not true, (c) the  
2 maker had no reasonable ground for believing the representation was true, (d) the represen-  
3 tation was made with intent to induce reliance, (e) plaintiff justifiably relied, and (f) damage  
4 resulted. *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408; *Quelimane Co. v.*  
5 *Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.

6 **72. (Element 1, Representation of past or existing material fact.)** On February 25, 2021, De-  
7 fendant CSAA Insurance Exchange, by and through its claims representative Sarah Rash and  
8 the supervisory and managing personnel who reviewed and approved the denial, represented  
9 in writing to Plaintiff that “We have concluded our investigation of your claim. Based on  
10 our investigation, and after carefully reviewing the facts and circumstances of your claim, we  
11 have concluded that our insured is not liable. . . .” That representation is a representation of  
12 past or existing fact concerning what CSAA had actually done, namely, what investigative  
13 steps it had performed, what records it had obtained, and what evidence it had reviewed and  
14 weighed before issuing the denial. *Borba v. Thomas* (1977) 70 Cal.App.3d 144, 152.

15 **73. (Element 2, Falsity.)** The representation in ¶ 72 was false. As of February 25, 2021, CSAA  
16 had not retrieved or reviewed any of the four foundational first-responder records (the Silent  
17 Witnesses).

18 **74. (Element 3, No reasonable ground for believing the representation true.)** Under *Bily*  
19 *v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408 (negligent-misrepresentation “no  
20 reasonable ground” floor), and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713,  
21 720–721 (Cal. Sup. Ct.: insurer’s investigation measured against an objective reasonable-  
22 insurer baseline rather than the insurer’s subjective belief), the inquiry is what an objectively  
23 reasonable insurer in the same position would have done. Each of the four Silent Witnesses  
24 identified in ¶ 8 was reasonably available to CSAA on or before February 25, 2021. CSAA did  
25 not obtain or attempt to obtain any of them. CSAA’s failure was not objectively reasonable.

26 **74A. Regulatory floor for “no reasonable ground.”** California Code of Regulations, Title 10,  
27 § 2695.7(d) provides that an insurer’s claims decision must be “based on all information reason-  
28 ably available.” 10 CCR § 2695.7(b) requires that an accept-or-deny determination follow receipt

1 of information sufficient to make the determination. 10 CCR § 2695.7(g) prohibits the insurer  
2 from “represent[ing] or imply[ing] that a claim will be denied without conducting and fully doc-  
3 umenting a thorough, fair, and objective investigation.” A representation that an investigation has  
4 been “concluded” while four categories of reasonably available extrinsic evidence have not been  
5 retrieved is, as a matter of regulatory law, made without reasonable ground for believing it true.

6 **74B. Reckless-Disregard Overlay (Section 0 ladder).** The same conduct that establishes “no  
7 reasonable ground” under § 1710(2) also establishes reckless disregard under § 1710(1) when the  
8 speaker is conscious of the absence of reasonable ground. *Engalla*, 15 Cal.4th at 974; *Bily*, 3  
9 Cal.4th at 407–408 (see also *Gagne*, 43 Cal.2d at 487–488). Plaintiff pleads this Cause as a true  
10 alternative to the First and Second Causes of Action: if the trier of fact does not find subjective  
11 awareness of falsity sufficient for § 1710(1), the same record establishes liability under § 1710(2).

12 **75. (Element 4, Intent to induce reliance.)** CSAA sent the February 25, 2021 letter directly to  
13 Plaintiff, an unrepresented third-party claimant, for the express purpose of inducing Plaintiff  
14 to abandon, settle for nominal value, or delay the prosecution of the claim.

15 **76. (Element 5, Justifiable reliance.)** Plaintiff justifiably relied on CSAA’s representation that  
16 its investigation was “concluded.” A reasonable third-party claimant is entitled to treat a  
17 regulated insurer’s representation about the status and scope of its own internal investigation  
18 as a representation of fact, because such a claimant has no independent means to audit the  
19 insurer’s claim file. *Borba*, 70 Cal.App.3d at 152; *Quelimane*, 19 Cal.4th at 47.

20 **77. (Element 6, Damages.)** As a direct and proximate result of CSAA’s negligent misrepresenta-  
21 tion, Plaintiff suffered damages including the categories pleaded at Section V, ¶¶ 31–37 above  
22 and Section III, ¶¶ 23–24A above.

23 **78. (Pleading-stage standard.)** This cause of action is pleaded with specificity sufficient under  
24 *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645–646.

25 **79. (Non-duplication.)** This cause of action does not duplicate the First or Second Causes  
26 of Action. The First and Second require knowing or reckless intentional misrepresenta-  
27 tion/concealment; this Fourth requires only negligence. The four causes are pleaded in the  
28 alternative under Code of Civil Procedure § 431.30(c). Nor does this cause assert a pri-

1 vate cause of action under Insurance Code § 790.03; the regulatory paragraphs in ¶ 74A are  
2 pleaded only as the standard-of-care floor.

### 3 **FIFTH CAUSE OF ACTION: DECLARATORY RELIEF**

4 (Code of Civil Procedure § 1060, Against CSAA Insurance Exchange and DOES 1 through 50,  
5 inclusive)

6 80. Plaintiff incorporates by reference all preceding paragraphs as though fully set forth herein.

7 81. Code of Civil Procedure § 1060 authorizes any person interested in a written instrument or  
8 under a contract, or who desires a declaration of his or her rights or duties with respect to  
9 another, to bring an action in the superior court for a declaration of his or her rights and  
10 duties. The remedy is appropriate where there exists an actual controversy relating to the  
11 legal rights and duties of the respective parties. *Maguire v. Hibernia S. & L. Soc.* (1944) 23  
12 Cal.2d 719, 728; *Wilson & Wilson v. City Council of Redwood City* (2011) 191 Cal.App.4th  
13 1559, 1582.

14 82. **(Actual controversy.)** An actual, present, and ripe controversy exists between Plaintiff and  
15 Defendant CSAA on at least the following material points, each of which is contested in this  
16 action and bears on Plaintiff's and CSAA's respective legal rights and duties going forward:

- 17 (a) Whether CSAA's February 25, 2021 representation that its investigation was "concluded"  
18 — and that it had "carefully reviewed the facts and circumstances of [the] claim" — was  
19 a representation of past or existing material fact (Plaintiff's position) or a non-actionable  
20 opinion or aspirational statement (CSAA's anticipated position).
- 21 (b) Whether each of the Silent Witnesses identified in ¶ 73 — namely, the 911 audio recording,  
22 the SFPD CAD event record, the SFPD body-worn camera footage of the responding officers,  
23 and the supplemental SFPD report relating to the February 4, 2021 collision — was "reason-  
24 ably available" to CSAA within the meaning of 10 CCR § 2695.7(d) on or before February  
25 25, 2021.
- 26 (c) Whether CSAA had retrieved or reviewed any of the four Silent Witnesses identified in ¶ 73  
27 on or before February 25, 2021.
- 28 (d) Whether the absence of the Silent Witnesses from CSAA's claim file as of February 25, 2021



1 rendered any “concluded investigation” representation made on that date a representation  
2 made without reasonable ground for believing it true within the meaning of Civil Code §  
3 1710(2), *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408, and *Wilson v. 21st*  
4 *Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721.

5 83. **(Necessity of declaration.)** A declaration is necessary and proper at this time because (i)  
6 the same operative facts underlie multiple pending and contemplated proceedings (including  
7 CGC-25-631801 and any future first-party or regulatory proceeding), (ii) CSAA continues  
8 to take inconsistent positions on possession and knowledge of the Silent Witnesses (com-  
9 pare CSAA’s February 25, 2021 representation that the investigation was “concluded” with  
10 CSAA’s panel-counsel representations in MIL Nos. 6 and 17 (Jan. 17, 2025), at the February  
11 18, 2025 hearing, and at trial in CGC-21-594102, that CSAA had “no idea where” the 911 /  
12 BWC / CAD / supplemental-report materials “came from” and that they were “not produced  
13 in discovery” — set forth in detail at ¶¶ 48–51 above), and (iii) declaratory relief will provide  
14 collateral-estoppel certainty across those proceedings under *Mycogen Corp. v. Monsanto Co.*  
15 (2002) 28 Cal.4th 888, 904, and *Lucido v. Superior Court* (1990) 51 Cal.3d 335, 341.

16 84. **(Judicial-estoppel predicate.)** The factual contradiction between (a) CSAA’s February 25,  
17 2021 written representation that its investigation was “concluded” and (b) CSAA’s panel-  
18 counsel representations in MIL Nos. 6 and 17 and at the February 18, 2025 hearing that  
19 CSAA had “no idea where” the Silent Witnesses “came from” — both of which are state-  
20 ments of CSAA itself under Civil Code §§ 2330 and 2338 and Evidence Code § 1222 (see  
21 also *American Mutual Liability Ins. Co. v. Superior Court* (1974) 38 Cal.App.3d 579, 591–  
22 592; *Gulf Insurance Co. v. Berger, Kahn, Shafton, Moss, Figler, Simon & Gladstone* (2000)  
23 79 Cal.App.4th 114, 124 (panel counsel as authorized agent of the carrier-principal)) — pro-  
24 vides an independent ground for judicial estoppel under *MW Erectors, Inc. v. Niederhauser*  
25 *Ornamental & Metal Works Co.* (2005) 36 Cal.4th 412, 422 (Cal. Sup. Ct.) (see also *Jack-*  
26 *son v. County of Los Angeles* (1997) 60 Cal.App.4th 171, 181; *Aguilar v. Lerner* (2004) 32  
27 Cal.4th 974, 986–987). CSAA cannot, in this action, take a position factually inconsistent  
28 with the representation it made in CGC-21-594102, and vice versa.

1 85. **(Specific declarations sought.)** Plaintiff therefore prays for a declaration that:

- 2 (a) CSAA's representation in the February 25, 2021 letter that its investigation was "concluded,"  
3 and that CSAA had "carefully reviewed the facts and circumstances of [the] claim," was a  
4 representation of past or existing material fact regarding the state of CSAA's own claim file  
5 and the steps CSAA had performed.
- 6 (b) Each of the four Silent Witnesses identified in ¶ 73 was "reasonably available" to CSAA  
7 within the meaning of 10 CCR § 2695.7(d) on or before February 25, 2021.
- 8 (c) CSAA had not retrieved or reviewed any of the four Silent Witnesses on or before February  
9 25, 2021.
- 10 (d) CSAA's February 25, 2021 "concluded investigation" representation was made without any  
11 reasonable ground for believing it true within the meaning of Civil Code § 1710(2), *Bily v.*  
12 *Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408, and *Wilson v. 21st Century Ins. Co.*  
13 (2007) 42 Cal.4th 713, 720–721.
- 14 (e) CSAA is judicially estopped from contesting in this action, or in any related action including  
15 but not limited to CGC-25-631801 and CGC-21-594102, that as of February 25, 2021 it  
16 possessed, reviewed, and based its liability determination upon the materials it represented to  
17 have reviewed.

18 86. **(Non-duplication.)** This cause of action does not duplicate any of the legal-damages causes  
19 pleaded in the First through Fourth Causes of Action, and is sought in addition to, not in  
20 lieu of, those causes. Declaratory relief here is prospective and preclusive in character; the  
21 legal-damages causes are retrospective and compensatory.

22 86A. **Reckless-Disregard Pleading (Fifth Cause of Action).** This Cause of Action is pleaded  
23 with the alternative scienter floor articulated in Section 0 above. The reckless-disregard scienter  
24 floor at §§ 0.1–0.5 and the Position A vs. Position B structural-impossibility frame at ¶ 51A supply  
25 the substantive predicate for the declarations sought at ¶ 85; the declarations sought are themselves  
26 either knowing-falsity declarations or reckless-disregard declarations, in the alternative, consistent  
27 with the alternative-pleading rule of CCP § 431.30(c) and the *Mycogen Corp. v. Monsanto Co.*  
28 (2002) 28 Cal.4th 888, 904, primary-rights framework.

87. WHEREFORE, Plaintiff prays for declaratory relief on the Fifth Cause of Action as set forth in the prayer below.

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## **PRAYER FOR RELIEF**

WHEREFORE, Plaintiff prays for judgment against Defendants, and each of them, as follows. Each tier below incorporates by reference, and is anchored in, the reckless-disregard scienter floor pleaded at Section 0, §§ 0.1–0.5.

### **TIER 1: COMPENSATORY DAMAGES**

1. For general and special damages according to proof on the First, Second, and Fourth Causes of Action, predicated on the reckless-disregard scienter floor at Section 0;
2. For reliance damages under Civil Code § 1709, predicated on the reckless-disregard scienter floor at Section 0.

### **TIER 2: PRENTICE DAMAGES**

3. For *Prentice v. North American Title Guaranty Corp.* (1963) 59 Cal.2d 618 fees as tort damages on the First, Second, and Fourth Causes of Action, including the four line-items enumerated at ¶ 24A above, predicated on the reckless-disregard scienter floor at Section 0.

### **TIER 3: UCL INJUNCTIVE AND RESTITUTIONARY RELIEF**

4. For restitutionary and injunctive relief to the extent legally available under Business and Professions Code § 17200 et seq., including an injunction prohibiting CSAA from issuing denial letters stating an investigation is “concluded” when foundational incident records have not been obtained or reviewed, predicated on the reckless-disregard scienter floor at Section 0 and the Cel-Tech tethering at ¶ 67A.

### **TIER 4: DECLARATORY RELIEF (FIFTH CAUSE OF ACTION)**

5. **On the Fifth Cause of Action (Declaratory Relief)**, for a declaration, predicated on the reckless-disregard scienter floor at Section 0, that:
  - (a) CSAA’s February 25, 2021 “concluded investigation” representation was a representation of past or existing material fact;

- (b) Each of the four Silent Witnesses identified at ¶ 73 was reasonably available to CSAA on or before February 25, 2021 within the meaning of 10 CCR § 2695.7(d);
- (c) CSAA had not retrieved or reviewed any of the four Silent Witnesses on or before February 25, 2021;
- (d) CSAA's February 25, 2021 representation was made without reasonable ground for believing it true within the meaning of Civil Code § 1710(2), *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408, and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721; and
- (e) CSAA is judicially estopped from contesting in this action, in CGC-25-631801, in CGC-21-594102, or in any related proceeding, the matters declared in (a)–(d).

## **TIER 5: PUNITIVE DAMAGES**

6. For punitive damages where legally recoverable and according to proof under Civil Code § 3294, predicated on the reckless-disregard / willful-blindness scienter floor at Section 0 and ¶ 30A.

## **TIER 6: COSTS, INTEREST, AND GENERAL RELIEF**

7. For costs of suit incurred herein under CCP §§ 1032, 1033.5;
8. For prejudgment interest as allowed by law under Civil Code §§ 3287(a), 3288;
9. For such other and further relief as the Court deems just and proper.

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## **DEMAND FOR JURY TRIAL**

Plaintiff hereby demands trial by jury on all issues so triable.

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**Dated: April 28, 2026**

**FRANCISCUS DYLAN ROSARIO** Plaintiff, In Pro Per 7624 Melody Drive Rohnert Park, CA 94928 Tel: 650.488.7510 Email: soltrinox@gmail.com

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1 **VERIFICATION**

2 I, FRANCISCUS DYLAN ROSARIO, am the Plaintiff in the above-entitled action. I have read  
3 the foregoing Third Amended Complaint and know its contents. The same is true of my own  
4 knowledge except as to matters stated on information and belief, and as to those matters I believe  
5 them to be true.

6 I declare under penalty of perjury under the laws of the State of California that the foregoing is  
7 true and correct.

8 Executed on \_\_\_\_\_ at \_\_\_\_\_, California.

9 \_\_\_\_\_  
10 FRANCISCUS DYLAN ROSARIO

*Electronic proof of service (POS-050) is filed concurrently with this Third Amended Complaint.*

/s/ Franciscus Dylan Rosario



FRANCISCUS DYLAN ROSARIO

Plaintiff, In Pro Per